IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.303

CP(CAA)/58(AHM)2022
in
CA(CAA)/32(AHM)2022

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

Bhagwat Power Salaya Ltd **.....Applicants**
Essar Steel Metal Trading Ltd

Order delivered on ..21.07.2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order. The order is pronounced in open Court. vide separate sheet.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH
AHMEDABAD
(COURT – II)

CP (CAA) No. 58 of 2022
in
CA(CAA) No. 32/NCLT/AHM/2022

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of Composite Scheme of Arrangement

Between

Bhagwat Power Salaya Limited
(Transferor Company 4)

And

Essar Steel Metal Trading Limited
(Transferee Company 2)

And

Their respective Shareholders and Creditors

Order Pronounced on : 21.07.2023

Coram:
Mr. Shammi Khan,
Hon'ble Member (Judicial)

Mr. Ajai Das Mehrotra
Hon'ble Member (Technical)

MEMO OF PARTIES

Bhagwat Power Salaya Limited, (CIN: U40300GJ2009PLC062729), a company incorporated under the Companies Act, 1956 having its Registered Office at 601, 6th Floor, Indra Complex Near Namrata Society, Manjalpur, Vadodara-390004, Gujarat.	… Petitioner Company 1/ Transferor Company 4
Essar Steel Metal Trading Limited (CIN: U27100GJ2005PLC046272) a company incorporated under the Companies Act, 1956 having its registered office at 601, 6th Floor, Indra Complex Near Namrata Society, Manjalpur, Vadodara-390004, Gujarat.	… Petitioner Company 2/ Transferee Company 2

For the Petitioners	:	Ms. Dharmishtha Raval, Advocate.
For the Regional Director	:	Mr.Rama Ambedkar, Assistant Director.
For the Income Tax Department	:	Ms.Pankti Shah, Advocate for Ms. Maithili D Mehta, Advocate.

ORDER

1. This joint Company Petition has been filed by the Petitioner Companies above named under Sections 230-232 of the Companies Act, 2013 (for brevity the Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for seeking sanction of the Scheme of Amalgamation of M/s. Frontier Steel Components Limited (Transferor Company No.1), M/s. Atubha Tech Limited (Transferor Company No.2), M/s. Edwell Infrastructure Hazira Limited (Transferor Company No.3/ Transferee Company No.1) and M/s. Bhagwat Power Salaya Limited (Transferor Company No.4) with M/s. Essar Steel Metal Trading Limited (Transferee Company No.2) and their respective shareholders (hereinafter referred to as the "Scheme") with effect from 01.04.2021, being the Appointed Date as mentioned in the Scheme.

2. An Affidavit in support of the Company Petition has been sworn by Mr Vikas Gangwal, Authorized Signatory of the Petitioner Company No.1/ Transferor Company No.4 and Authorized Signatory of the Petitioner Company No.2 / Transferee Company No.2 and the same are part of the Company Petition. The abovenamed Authorized Signatories for the Petitioner Companies have been authorized *vide* Board Resolutions dated 14.03.2022 and 1st March 2022 passed by the respective Petitioner Companies.

3. The registered offices of the Transferor Companies No.1 and 2 and Transferor Company No.3 /Transferee Company No.1 are

situated in the State of Maharashtra. Hence, the aforesaid companies had filed first motion application being CA (CAA) 95 of 2022 before the National Company Law Tribunal (NCLT), Mumbai Bench, which was allowed and disposed of vide order dated 23.09.2022**.** Further, after complying all the directions given in the aforesaid order, the aforesaid companies had filed second motion petition being CP (CAA) 3 of 2023 before NCLT, Mumbai Bench, which was allowed and disposed of by an order dated 09.06.2023. Copy of the said order dated 09.06.2023 is filed on 17.07.2023.

4. The Composite Scheme of Arrangement for Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferee Company 1; And the Amalgamation of the Transferor Company 3 /Transferee Company 1 and Transferor Company 4 with the Transferee Company 2, would inter alia have the following benefits:

The Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferor Company 3/Transferee Company 1; And the Amalgamation of the Transferor Company 3 /Transferee Company 1 and Transferor Company 4 with the Transferee Company 2, would inter alia have the following benefits:

i. *The Transferor Company 1, Transferor Company 2 are the wholly-owned subsidiaries of Transferee Company 1 and; the Transferor Company 3, Transferor Company 4 are the wholly-owned subsidiaries of Transferee Company 2;*

ii. *All the Companies are under the same management, the amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferor Company 3 /Transferee*

Company 1 and the Amalgamation of Transferor Company 3 and Transferor Company 4 with the Transferee Company 2 will remove inefficiencies and result in simplification, streamlining and optimization of the group structure and efficient administration;

iii. *Benefit Shareholders and other stakeholders of the respective companies by consolidating and simplifying the group structure, business operations, provide optimal utilization of various resources and eliminating cross holdings within the group;*

iv. *Enhance growth prospects, reduce overheads, administrative, managerial and other costs and expenditure and remove inefficiency;*

v. *Result in improved shareholder value for the shareholders of the respective companies, thus providing a stronger and wider capital and financial base for future growth/expansion of the Transferee Company 2;*

vi. *Post-Amalgamation of Transferor Company 1 and Transferor Company 2 with the Transferor Company 3 /Transferee Company 1 and the Amalgamation of Transferor Company 3 and Transferor Company 4 with the Transferee Company 2, all the Transferor Companies shall stand dissolved. Consequently, there would be lesser regulatory and legal compliance obligations including accounting, reporting requirements, statutory requirements, tax filings, company law requirements, etc. and therefore reduction in administrative costs.*

vii. *Reduction in value of CCD's will reduce liability to the extent of Rs. 60 per debenture and as proposed in the Composite Scheme it will get adjusted against accumulated losses which will result in more true and fair view of the financial position of ESMTL.*

5. From the records, it is seen that the first motion application was filed before this Tribunal being CA (CAA) 32 of 2022 which

sought dispensation of meetings of the Equity Shareholders of the Petitioner Companies, in view of the consent affidavits of the Equity Shareholders and sought directions for holding and convening the meetings of the Unsecured Creditors of the Petitioner Companies and the Debenture Holders of the Petitioner Company No.2/Transferee Company. Since there were no Secured Creditors in the Petitioner Companies, meeting of Secured Creditors was required. The aforesaid application was allowed vide order dated 14.06.2022, by issuing directions for notices and publications in newspapers, English daily 'Business Standard' and Gujarat daily 'Jansatta' both in Ahmedabad editions. Directions were also issued for service of notice to the concerned Statutory and Regulatory Authorities.

6. The directions issued by the aforesaid order were duly complied with by the Petitioner Companies and compliance affidavits were duly filed with the Tribunal on 26.07.2022 by the Chairman appointed by the Tribunal to conduct the meetings. In compliance with the directions for convening the meetings, separate meetings were duly convened on 09.08.2022 for the Unsecured Creditors of the Petitioner Companies and the Debenture Holders of the Transferee Company. The Chairman appointed for the said meetings has filed his reports on 16.08.2022 with the result of the said meetings along with affidavit dated 12.08.2022. The said reports confirm the approval to the proposed Scheme unanimously by the Unsecured Creditors of the Petitioner Companies and the Debenture Holders of the Transferee Company.

7. The Petitioner Companies had filed second motion joint petition being CP (CAA) 58 of 2022 before this Tribunal seeking sanction of the Scheme (e-filed on 22.8.2022 and physical copy thereof was filed on 23.8.2022) which was admitted vide order dated 06.09.2022. Directions were issued to publish notice of hearing of Petition in the newspapers, 'Business Standard' in English and 'LokSatta' in Gujarati in both Ahmedabad and Baroda editions and notice of hearing of the Petition to the Regional Director, Registrar of Companies, Official Liquidator, and the Income Tax Department informing the date of hearing. In Compliance with the order dated 06.09.2022, the Petitioner Companies filed joint affidavit dated 11.10.2022 on 14.10.2022 regarding the paper publication and proof of service of notices.

8. In response to the notice served upon the Regional Director (RD), the RD has filed representation dated 30.11.2022 along with report from Registrar of Companies (RoC) dated 14.10.2022 on 13.12.2022. Their observations are as follows:-

i. It is stated that from the records available with the Regional Director the Transferor Company No. 4, Bhagwat Power Salaya Limited, is not the wholly owned subsidiary of the Transferee Company No.2, Essar Steel Metal Trading Limited, however, it appears to be a wholly owned subsidiary of Vyadeshwar Ventures Services Limited.

ii. It is further stated that as per the charge index available on MCA 21 portal the Petitioner Transferor company No.4 has one secured creditor whereas it is stated in the order dated 14.06.2022 passed

by the NCLT at para 13(b) and 16(b) that there are no secured creditors in the Transferor Company No.4

iii. *The petitioner companies shall comply with S. 232(3)(i) of the Companies Act, 2013 and pay fees accordingly.*

iv. *This Tribunal may be pleased to direct the petitioner companies to preserve its books of accounts, papers and records and shall not be disposed of without prior permission of Central Government as per the Provision Section 239 of the Companies Act, 2013.*

v. *This Tribunal may be pleased to direct the Petitioner Companies to ensure Statutory compliance of all applicable Laws and also on sanctioning of the present Scheme, the Transferor Company No.4 shall not be absolved from any of its Statutory liabilities, in any manner.*

vi. *Necessary Stamp Duty on transfer of property/Assets, if any is to be paid to the respective Authorities before implementation of the Scheme.*

vii. *This Tribunal may direct the companies involved in the scheme to comply with the provisions of Section 232(5) of the Companies Act, 2013 with respect to filing of certified copy of order sanctioning the scheme with Registrar of Companies within 30 days from date of passing order.*

viii. *This Tribunal may be pleased to direct the Petitioner companies to file the annual accounts / returns as on 31.03.2022 with MCA portal and place on record all the relevant facts of the matter.*

ix. *This Tribunal may be pleased to direct the Petitioner companies to pay the legal fees/cost to the Central Government which may be considered appropriate by this Tribunal.*

9. In response to the notice to the Official Liquidator (OL), the OL has filed his report dated 26.12.2022 on 13.01.2023 regarding the Petitioner Transferor Company No.4 making the following observations:-

i. This Tribunal may be pleased to direct the Petitioner Transferor Company No.4 to place on records the Balance Sheet for the year ending as on 31.03.2022 before approval of the Scheme of Amalgamation.

ii. This Tribunal may be pleased to direct the Petitioner Transferor company to place on record the date of change in share holding pattern with necessary forms.

iii. The Transferor company shall preserve its books of accounts, papers, records, etc as per Section 239 of the Companies Act, 2013.

iv. The Transferor company shall ensure statutory compliance with all applicable laws and that sanction of the scheme shall not absolve the Petitioner company from any statutory liabilities.

v. Bhagwat Power Salaya Limited being the 4th Transferor Company may be dissolved without following the process of winding- up in terms of sub-section 3(d) of Section 232 of the Companies Act, 2013. Further the Transferor company being dissolved, the fee, if any paid by the Transferor Company on its Authorized Share Capital shall be set-off against any fees payable by the Transferee Company on its Authorized Capital subsequent to the amalgamation in terms of sub section 3(i) of Section 232 of Companies Act,2013.

vi. This Tribunal may be pleased to direct the Transferee Company No.2 to pay such cost and expenses to the Office of Official

Liquidator for the Transferor Company or any other amount as may be considered appropriate by this Hon'ble Tribunal by way of submitting Demand Draft/Banker's cheque only in favour of the Official Liquidator, payable at Ahmedabad.

vii. *The Petitioner company shall lodge a certified copy of the order with the concerned Superintendent of Stamps for the purpose of adjudication of Stamp Duty.*

viii. *The Petitioner Company shall comply with Section 232(5) of the Companies Act and file Certified copies of the order sanction the Scheme with RoC within 30 days from the date of passing the order.*

10. In response to the notice to the Income Tax Department, the Asst. Commissioner of Income Tax (ACIT-6(1)(1)), Mumbai has filed its Report dated 04.10.2022 on 10.10.2022 regarding the Petitioner Transferee Company No.2. It is stated that a total demand of Rs.30,32,19,700/- is outstanding against the Transferee Company No.2. However, in spite of repeated opportunities, no report was filed by the Income Tax Department with respect to the Transferor Company No.4.

11. The Petitioner Transferor Company has filed an affidavit in response to the common report submitted by the Regional Director with ROC, Official Liquidator and Income Tax Department and has given the following undertakings:-

i. With reference the Para 2(e) of the RD representation, the Petitioner Companies states that Bhagwat Power Salaya Limited, Petitioner Transferor Company 4 is the wholly owned subsidiary

of the Essar Steel Metal Trading Limited, Petitioner Transferee Company 2 with effect from 25th Day of February, 2022 due to transfer of the Equity Shares of Bhagwat Power Salaya Limited from Vyadeshwar Ventures Services Limited to Essar Steel Metal Trading Limited. It is submitted that the above transfer has been made effective prior to approval of the Scheme by the Board of Directors of the Petitioner Companies.

ii. With reference to Para 2(f) of the RD representation, the Petitioner Companies states that the Transferee Company will undertake to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 and pay the differential fees, if any arising on the combination of the Authorised Capital as stated in paragraph 20 of the Composite Scheme of Arrangement.

iii. With reference to Para 2(h) of the RD representation, the Petitioner Companies states that there is Nil Secured Creditor in the Transferor Company 4 and the same is evident from the Audited balance sheets of last three financial years, i.e., FY 2018-2019, FY 2019-2020 and FY 2020- 2021. Further, the Petitioner Companies states that it had made application on 28th Day of June, 2021with the Registrar of Companies, Ahmedabad for removal of the charge ID 10314338 created in favour of M/s. Axis Trustee Services Limited of Rs. 24,75,00,00,000/- as the Transferor Company 4 never utilised the said term loan, neither the said loan was disbursed.

iv. With reference to Para 2(i) of the RD representation, the Petitioner Companies states that, they are under process of

preparation and finalising the annual accounts/ returns as on 31st Day of March, 2022 and the same would be filed on MCA portal by combining the financials of Transferor Company 4 with that of the Transferee Company 2, with effect from the Appointed Date as mentioned in the Scheme. The Transferee Company undertakes that such filing will be done by paying the applicable additional fees.

v. With reference to Para 2(l) of the RD representation, the Petitioner Companies states that, the Transferor Company 1, Transferor Company 2 and Transferor Company 3 have filed the Company Scheme Application with the Hon'ble NCLT Mumbai Bench on 31st Day of March, 2022, the Company Scheme Application was numbered as C.A.(CAA) - 95/2022 and was disposed on 23rd Day of September, 2022, further after complying all the necessary directions the Transferor Company 1, Transferor Company 2 and Transferor Company 3 have filed the Company Scheme Petition on 8th Day of December, 2022 with the Hon'ble NCLT Mumbai Bench and the Company Scheme Petition is numbered as C.P.(CAA) - 3/2023 and the hearing date for admission of the Company Scheme Petition is being scheduled as 9th Day of January, 2023. Subsequently, the petitioner informed that NCLT, Mumbai has approved the Scheme.

vi. With reference to paragraph 2(m) of the RD representation, the Petitioner Companies undertake to pay such legal fees to the Central Government as may be imposed or directed by this Tribunal.

vii. With reference to Para 8 of the report of the OL the Petitioner Companies state that they are under process of preparation and finalising the annual accounts/ returns as on 31st Day of March, 2022, the same would be filed on MCA portal by combining the financials of Transferor Company 4 with that of the Transferee Company 2, with effect from the Appointed Date as mentioned in the Scheme. The Transferee Company undertakes that such filing will be done by paying the applicable additional fees. The Petitioner Companies prays to waive off placing on records the Audited Balance Sheet as on 31st Day of March, 2022 before this Tribunal

viii. With reference to Para 9 of the report of the OL the Petitioner Companies states that, the Petitioner Transferor Company 4 was the Wholly Owned Subsidiary of Vyadeshwar Ventures Services Limited as on 31st March, 2021, further the shares were transferred from Vyadeshwar Ventures Services Limited to Essar Steel Metal Trading Limited as on 25th February, 2022, making it a Wholly Owned Subsidiary of Essar Steel Metal Trading Limited.

ix. With reference to Para 23 of the report of the OL the Petitioner Companies undertake to preserve their books of accounts, papers and records and it shall not dispose them without prior approval of the Central Government as per Section 239 of the Companies Act.

x. With reference to Para 24 of the report of the OL the Petitioner Companies undertake to ensure statutory compliance of all the applicable laws and on the sanctioning of the Scheme, it shall not absolve them from any statutory liability, in any manner.

xi. With reference to Para 25 of the report of the OL the Petitioner Companies state that the Transferee Company will undertake to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 and pay the differential fees, if any arising on the combination of the Authorised Capital as stated in paragraph 20 of the Composite Scheme of Arrangement.

xii. With reference to Para 26 of the report of the OL the Petitioner Companies undertake that the Transferee Company will pay the sum of Rs.15,000/- or any such fees as this Hon'ble Tribunal may direct towards the cost of proceeding and related office expenses of the Office of the Official Liquidator by way of Demand Draft in favour of the Official Liquidator, Payable at Ahmedabad.

xiii. With reference to Para 27 of the report of the OL, the Petitioner Companies undertake to lodge certified copy of the order along with the Scheme, with the concerned Superintendent of Stamps for the purpose of adjudication of stamp duty payable, if any.

xiv. With reference to Para 28 of the report of the OL, the Petitioner Companies undertake to file certified copy of the order sanctioning the Scheme with the Registrar of Company within 30 days from the date of passing of order and undertakes to comply with the provision of Section 232(5) of the Companies Act, 2013.

xv. With reference to para 2 of the letter from Income Tax Department, it is submitted that pursuant to the said Composite Scheme becoming effective, the Transferor Companies will get merged in the Petitioner Transferee Company 2 and will no longer exist, accordingly all the Assets and Liabilities held by the Transferor Companies shall be transferred to and will vest in or

be deemed to be transferred to and vested in the Petitioner Transferee Company 2. M/s. Essar Steel Metal Trading Limited, being an Ultimate Resulting Company will continue to operate in the ordinary course of business. As the Petitioner Transferee Company 2 will continue to operate, all the debts, present and future liabilities, payables, contingent liabilities, duties and obligations (including duties/ rights/ obligations under any agreement, contracts, applications, letters of intent or any other contracts) as on the date immediately preceding the Appointed Date i.e., 01.04.2021 will be paid off in the ordinary course of business.

xvi. Accordingly, the said outstanding demand of Rs. 30,32,19,700/- will be paid off by the Transferee Company 2 along with the other outstanding liabilities payable. As all the Undertaking of the Transferor Companies shall be transferred to the Transferee Company 2, the Assets held by the Transferee Company 2, post the Composite Scheme becoming effective, shall be sufficient to pay off the liabilities of the Transferee Company 2.

12. During the course of the hearing on 24.04.2023, Mr. Shiv Pal Singh, Asst. Director, appearing for the office of the Regional Director, stated that after going through the reply of the Petitioner Companies, the RD's office has no objection if the scheme is approved.

13. During the hearing on 15.05.2023, Ms. Pankti Shah, Ld. Counsel appearing for the Income Tax Department stated that there is an outstanding demand of Rs.30.22 crores against the Transferee Company. Ms. Dharmishtha Raval, Ld. Counsel appearing for

the Petitioner Companies stated that the Petitioner Company undertakes to pay the demand due as per law as the Transferee Company will be surviving. In view of this statement, Ld. Counsel for the Income Tax Department stated that she has no objection with reference to Transferee Company regarding approval of the Scheme. Mr. Suresh Shrivastava, the representative of the Office of the Official Liquidater stated that Report has been filed and on their observations, reply has been received from the petitioner companies and after going through the reply and the commitments made in the reply regarding compliances, they have no objection to approval of the Scheme. Despite several opportunities given to the Income Tax Department as also recorded in the daily orders dated 24.04.2023, 15.05.2023 and 05.06.2023 report regarding Transferor Company No. 4, i.e. Bhagawat Power Salaya Ltd. was not filed by them.

14. The certified copies of respective Board Resolutions of both the Petitioner Companies approving the Scheme of Amalgamation were annexed with the application. An affidavit is filed by Shri Vikas Gangwal, authorized representative of the Petitioner Transferor Company and the Petitioner Transferee company, stating that no investigation proceedings are pending against the petitioner companies under Sections 235-251 of the Companies Act,1956 or Sections 210-226 of the Companies Act, 2013.

15. It is submitted that the provisions of the Competition Act, 2002 are not applicable in the present case.

16. It is further submitted that notice to Reserve Bank of India (RBI) is not required as no consideration or shares in pursuance to the Composite Scheme of Arrangement will be issued to the Shareholders of the Petitioner Company No. 1. Further, transactions if any will also be exempted from the requirement of obtaining an approval from RBI as the same will be under the Automatic route.

17. In compliance with the proviso to sub-section (7) of Section 230 of the Companies Act, 2013, both the petitioner companies have placed on record the certificates of the respective statutory auditors confirming that the proposed Composite Scheme of Amalgamation is in compliance with the applicable accounting standards as per Section 133 of the Companies Act, 2013. The schedule of property of the Petitioner Transferor Company is also filed.

18. We have heard Ms. Dharmishtha Raval, Ld. Counsel for the petitioner companies and have perused the documents placed on record.

19. On the basis of above facts and submissions made by the Ld. Counsel and considering the approval accorded by the shareholders and creditors of the Petitioner Companies to the proposed Scheme, as well as no objection from the respective Regulatory and Statutory Authorities, it appears that the requirements of the provisions of Sections 230 to 232 are satisfied by the Petitioner Companies. The proposed Scheme of Amalgamation of M/s. Frontier Steel Components Limited

(Transferor Company No.1), M/s. Atubha Tech Limited (Transferor Company No.2), M/s. Edwell Infrastructure Hazira Limited (Transferor Company No.3/ Transferee Company No.1) and M/s. Bhagwat Power Salaya Limited (Transferor Company No.4) and M/s. Essar Steel Metal Trading Limited (Transferee Company No.2) is hereby sanctioned. It is declared that the said sanctioned Scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the scheme.

20. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Companies.

22. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

23. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme of arrangement given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

24. The Scheme is sanctioned with the following directions-

i. The Scheme of Amalgamation as annexed herewith as "Annexure-A" is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders and Creditors and all concerned under the Scheme.

ii. The Transferor Company No. 4 shall, together with all its properties, rights and powers be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, stand transferred to and vest in the Transferee Company for all the estate and interest of the Transferor Company No. 4. The schedule of property of the Transferor Company No. 4 is annexed with this Order at **Annexure –B**.

iii. It is stated in clause No.6 of the Scheme that;

6.1 As the Transferor Company 1 and Transferor Company 2 are the wholly-owned subsidiaries of the Transferee Company 1, no consideration shall be payable pursuant to the Composite Scheme of Arrangement for the Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferee Company 1, and the shares held by the Transferee Company 1 in the Transferor Company 1 and Transferor Company 2 shall stand cancelled without any further act, application or deed.

6.2 If any, cross holdings of Shares between the Transferor Company 1, Transferor Company 2 and Transferee Company 1 as on the Record /appointed date be treated as cancelled and

extinguished and consequent reduction in the capital of the Transferee Company 2, if any, shall be effected on without following the procedure laid down in section 66 of the Companies Act, 2013 on the basis of the principle of single window clearance. The said cancellation shall result in reduction of Capital under Section 66 of the Act. However, since the aforesaid reduction is consequential and is proposed as an integral part of the Composite Scheme, the Transferee Company 1 shall not be required to undertake separate procedure under Section 66 of the Act, Further, as the reduction does not result in either diminution of liability in respect of unpaid share capital or payment to any shareholder of any paid-up share capital, the provisions of Section 66 of the Act shall not be applicable. The order of the NCLT sanctioning the Composite Scheme shall be deemed to be the order under Section 66 of the Companies Act, 2013 for the purpose of confirming the reduction. Further, the Transferee Company 1 shall not be required to add 'and reduced as suffix to its name consequent upon such reduction.

Further, the Transferor Company No. 4 is a wholly-owned subsidiary of the Transferee Company No. 2. No consideration is payable pursuant to the Composite Scheme of Arrangement for the Amalgamation. The shares of Transferor Company No. 4 shall stand cancelled without any further act, application or deed.

iv. All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Transferor Company No. 4 shall stand transferred to and vest in the Transferee Company, without any further act or deed. The Transferee Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company.

v. All the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company.

vi. All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Transferor Company in respect of the Transferor Company, shall stand transferred to and vest in the Transferee Company and be in full force and effect in favour of the Transferee Company and may been forced by or against it as fully and effectually against the Transferee Company.

vii. All taxes paid or payable by the Transferor Company including existing and future incentives, un-availed credits and exemptions, the benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Transferee Company. The Tax liability of the Transferor Company shall become liability of the

Transferee Company and any proceedings against the Transferor shall continue against the Transferee Company.

viii. All proceedings now pending by or against the Transferor Company, if any, shall be continued by or against the Transferee Company.

ix. All employees in the service of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company on date on which the Scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not having been interrupted by reasons of the said transfer and on terms and conditions no less favourable than those on which they were/are engaged, as on the Effective Date.

x. The Petitioner Companies are directed to lodge a copy of this Order along with the approved Scheme and Schedule of Property duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for adjudication of stamp duty, and pay requisite stamp duty payable, if any, within 60 days from the date of this Order.

xi. The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Dept. shall be at liberty to initiate appropriate course of action as per law. Any sanction of the

Scheme of Arrangement under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

xii. The legal and expenditure fees for the office of the Official Liquidator is quantified at Rs. 10,000/- and the fees of the Regional Director is quantified at Rs. 10,000/ -. The said fees to the Official Liquidator and Regional Director shall be paid by the Transferee Company.

xiii. Any person aggrieved by this order shall be at liberty to apply to this Tribunal for any directions that may be necessary.

25. The Company Petition CP(CAA) No.58 of 2022 connected with CA(CAA) No.32 of 2022 are disposed of, in terms of above order.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

Sudha-Steno/Rahul-LRA

Annexure "A"
Annexure F

0178

COMPOSITE SCHEME OF ARRANGEMENT

BETWEEN

FRONTIER STEEL COMPONENTS LIMITED

(TRANSFEROR COMPANY 1)

AND

ATUBHA TECH LIMITED

(TRANSFEROR COMPANY 2)

AND

EDWELL INFRASTRUCTURE HAZIRA LIMITED

(TRANSFEROR COMPANY 3/ TRANSFEREE COMPANY 1)

AND

BHAGWAT POWER SALAYA LIMITED

(TRANSFEROR COMPANY 4)

AND

ESSAR STEEL METAL TRADING LIMITED

(TRANSFEREE COMPANY 2)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

NOTARY GOVT. OF INDIA

A. PREAMBLE

1. This Composite Scheme of Arrangement (the **"Composite Scheme"**) is presented under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (including any statutory modification or re-enactment or amendment thereof) for:

   a) The Amalgamation of **'Frontier Steel Components Limited'** (hereinafter referred to as 'FSCL' or 'Transferor Company 1') and **'Atubha Tech Limited'** (hereinafter referred to as 'ATL' or 'Transferor Company 2') with **'Edwell Infrastructure Hazira Limited'** (hereinafter referred to as 'EIHL' or 'Transferor Company 3' or 'Transferee Company 1');

   b) The Amalgamation of **'Edwell Infrastructure Hazira Limited'** (hereinafter referred to as 'EIHL' or 'Transferor Company 3' or 'Transferee Company 1') and **'Bhagwat Power Salaya Limited'** (hereinafter referred to as 'BPSL' or 'Transferor Company 4') with **'Essar Steel Metal Trading Limited'** (hereinafter referred to as 'ESMTL' 'Transferee Company 2') and;

   c) The Compulsorily Convertible Debentures (CCD's) in ESMTL shall be reduced from face value of Rs. 100/- (Rupees Hundred only) each to face value of Rs. 40 (Rupees Forty only) each, and the terms and conditions for conversion of CCD's into Equity shares shall be further altered from 10 Equity of Rs. 10 each to 4 Equity of Rs. 10 each per debenture.

   d) Other Matters consequential or otherwise integrally connected to the foregoing.

   e) This Scheme is a Composite Scheme of Arrangement between Frontier Steel Components Limited (Transferor Company 1) and Atubha Tech Ltd (Transferor Company 2) and Edwell Infrastructure Hazira Limited (Transferor Company 3/ Transferee Company 1) and Bhagwat Power Salaya Limited (Transferor Company 4) and Essar Steel Metal Trading Limited (Transferee Company 2) and their respective Shareholders and Creditors.

   The Amalgamation of the Transferor Company 1, Transferor Company 2 with the Transferee Company 1 of the Part B and the Amalgamation of Transferor Company 3, Transferee Company 1, Transferor Company 4 with the Transferee Company 2 of the Part C, pursuant to this Composite Scheme is in accordance with the provisions of section 2(1B) and other relevant provisions of the IT Act.

B. DESCRIPTION OF COMPANIES

i. **FRONTIER STEEL COMPONENTS LIMITED** (hereinafter referred to as "FSCL" or the "Transferor Company 1") a public limited company bearing CIN U50102MH2007PLC170233 was incorporated under the Companies Act, 1956, under the name and style of AMW Properties Limited on 23rd day of April, 2007 in the State of Maharashtra under the jurisdiction of Registrar of Companies, Maharashtra, Mumbai.

Subsequently name was changed from AMW Properties Limited to Frontier Steel Components Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Maharashtra, Mumbai vide its certificate of change of name dated 14th day of November, 2013. The Registered Office of FSCL is situated at Essar House, 11, K. K. Marg, Mahalaxmi, Mumbai-400034, Maharashtra, India. FSCL was incorporated to carry on the business of manufacturing, fabricating, assembling, buying, selling, marketing, importing, exporting etc of all types of components parts of automobiles, vehicles, machineries, construction sites and projects, Ship and sea faring vessels. Currently it is not engaged in any business activities, hence in order to achieve the objective of consolidation, it is proposed to amalgamated FSCL in to EIHL.

ii. **ATUBHA TECH LIMITED** (hereinafter referred to as "ATL" or "Transferor Company 2") a public limited company bearing CIN U72900MH2009PLC192075 was incorporated under the Companies Act, 1956, under the name and style of Aegis Network Technologies Limited on 28th day of April, 2009 in the State of Maharashtra under the jurisdiction of Registrar of Companies, Maharashtra Mumbai. Subsequently name was changed from Aegis Network Technologies Limited to Aegis Tech Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Maharashtra, Mumbai vide its certificate of change of name dated 25th day of May, 2009, thereafter subsequently name was changed from Aegis Tech Limited to Atubha Tech Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Maharashtra, Mumbai vide its certificate of change of name dated 1st day of October, 2018. The Registered Office of ATL is situated at Essar House, 11, K. K. Marg, Mahalaxmi, Mumbai-400034, Maharashtra, India. ATL was incorporated to carry on the business of providing information technology services including system integration, application development and managed services for contact centers, telecom companies and to design, develop, provide market, act as global consultant to carry on the business of export and to deal in computer and communication hardware, software including system software plant, and dealing in all types of information technology services software, hardware, applications etc. Currently it is not engaged in any business activities, hence in order to achieve the objective of consolidation, it is proposed to amalgamated ATL in to EIHL.

iii. **EDWELL INFRASTRUCTURE HAZIRA LIMITED** (hereinafter referred to as "EIHL" or "Transferor Company 3" or "Transferee Company 1") a public limited company bearing CIN U70100MH2006FLC159272 was incorporated under the Companies Act, 1956, under the name and style of Essar Hazira SEZ (Developers) Limited on 25th day of January, 2006 in the State of Maharashtra under the jurisdiction of Registrar of Companies,

Maharashtra Mumbai. Subsequently name was changed from Essar Hazira SEZ (Developers) Limited to Essar SEZ Hazira Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Maharashtra, Mumbai vide its certificate of change of name dated 17th day of July, 2006, thereafter subsequently name was changed from Essar SEZ Hazira Limited to Essar Infrastructure Hazira Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Maharashtra, Mumbai vide its certificate of change of name dated 13th day of December, 2013, further thereafter subsequently name was changed from Essar Infrastructure Hazira Limited to Edwell Infrastructure Hazira Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Maharashtra, Mumbai vide its certificate of change of name dated 18th day of August, 2017. The Registered Office of EIHL is situated at Essar House, 11, K. K. Marg, Mahalaxmi Mumbai-400034, Maharashtra, India. EIHL was incorporated to carry on the business of to develop multi-product Special Economic Zone at Hazira, obtain necessary approvals from concerned state and central government as is required, comply with local laws, rules and regulations, develop the SEZ, provide, maintain, operate infrastructure and other facilities for the smooth operation of unite in the SEZ, to assist units in obtaining approvals for operating as SEZ units in the said zone, to provide consultancy, engineering and operational help in operation of the SEZ and related activities, and also to carry on the business of of proprietors, of lands, flats, maisonettes, dwelling houses, shops, offices, Industrial Estates, Lessees of lands, flats and other immovable properties and for these purposes to purchase, take on lease or otherwise acquire and hold any lands or buildings of any tenure or description wherever situate, or rights or interest therein or connected therewith, to repair building sites and to construct reconstruct, pull down, alter improve decorate and furnish and maintain flats, maisonnettes, dwelling houses, shops, offices, buildings industrial estates, works and conveniences of all kinds, to lay out roads etc. Currently it is not engaged in any business activities, hence in order to achieve the objective of consolidation, it is proposed to amalgamated EIHL in to ESMTL.

iv. **BHAGWAT POWER SALAYA LIMITED** (hereinafter referred to as "BPSL" or "Transferor Company 4") a public limited company bearing CIN U40300GJ2009PLC062729 was incorporated under the Companies Act, 1956, under the name and style of Essar Power Paradeep Limited on the 26th day of May, 2009. Subsequently it changed its name from Essar Power Paradeep Limited to Essar Power Salaya Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Maharashtra, Mumbai on 11th day of January, 2010. Subsequently it changed its name from Essar Power Salaya Limited to Bhagwat Power Salaya Limited and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of

Companies, Ahmedabad on 24th day of September, 2018. The Registered Office of BPSL is situated at 601, 6th Floor, Indra Complex Near Namrata Society, Manjalpur, Vadodara -390004, Gujarat, India. BPSL was formed to carry on the business in the electricity supply market all or any of the businesses of procurers, generators, suppliers, distributors, transformers, converters etc thereafter BPSL discontinued its business in the year 2016 due to non-availability of business and other sustainable issues. Currently BPSL is not engaged in any business activities, hence in order to achieve the objective of consolidation, it is proposed to amalgamated BPSL in to ESMTL.

v. **ESSAR STEEL METAL TRADING LIMITED** (hereinafter referred to as "ESMTL" or "Transferee Company 2") a public limited company bearing CIN U27100GJ2005PLC046272 was incorporated under the Companies Act, 1956, under the name and style of "Essar Steel (Jharkhand) Limited" on the 17th day of June, 2005. Subsequently, ESMTL changed its name from 'Essar Steel (Jharkhand) Limited' to 'Essar Steel Jharkhand Limited' and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Ahmedabad on 25th day of July, 2006. Further, ESMTL changed its name from 'Essar Steel Jharkhand Limited' to 'Edwell Metal and Trading Limited' and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Ahmedabad on 15th day of September, 2017. Further, ESMTL changed its name from 'Edwell Metal and Trading Limited' to 'Essar Steel Metal Trading Limited' and a fresh Certificate of Incorporation consequent to change of name was issued by the Registrar of Companies, Ahmedabad on 23rd day of July, 2018. The Registered Office of ESMTL is currently situated at 601, 6th Floor, Indra Complex Near Namrata Society, Manjalpur, Vadodara -390004, Gujarat, India. ESMTL was incorporated to carry on the business of constructional engineers, mechanical engineers, Iron Founders, Public Works and general Contractors, Constructors, dealers in bridges, Steel, Frames, Buildings, Steel, Iron, Structurers of all kinds Iron and Steel convertors, amiths, wood workers, painters, electrical engineers and electricians and dredgers and to undertake any type of construction work comprising of Mechanical, Electrical etc also the business to maintain and undertake repairs of Ships, Barges, Boats, Lorries, Tractors Trailers, Cranes, Plant and Machineries of any kind including earthmoving machineries, and to deal in or manufacture, import, export, trade or use iron and steel, hardware, cement, lime, stones, bricks, sand, china clay and any other construction materials, Oils, Diesel etc, also to manufacture , deal, export, import trade or use steel , steel products, Iron ore, pellets , hot briquetted iron, Ingots, stabs, hot rolled coils, cold rolled coils, galvanized coils, rods, sheets and any other long or flat products made primarily from steel .Currently ESMTL not engaged in any business activities.

C. **RATIONALE AND PURPOSE OF THE COMPOSITE SCHEME**

The Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferor Company 3/Transferee Company 1; And the Amalgamation of the Transferor Company 3 /Transferee Company 1 and Transferor Company 4 with the Transferee Company 2, would *inter alia* have the following benefits:

(i) The Transferor Company 1, Transferor Company 2 are the wholly-owned subsidiaries of Transferee Company 1 and; the Transferor Company 3, Transferor Company 4 are the wholly-owned subsidiaries of Transferee Company 2;

(ii) All the Companies are under the same management, the amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferor Company 3 /Transferee Company 1 and the Amalgamation of Transferor Company 3 and Transferor Company 4 with the Transferee Company 2 will remove inefficiencies and result in simplification, streamlining and optimization of the group structure and efficient administration;

(iii) Benefit Shareholders and other stakeholders of the respective companies by consolidating and simplifying the group structure, business operations, provide optimal utilization of various resources and eliminating cross holdings within the group;

(iv) Enhance growth prospects, reduce overheads, administrative, managerial and other costs and expenditure and remove inefficiency;

(v) Result in improved shareholder value for the shareholders of the respective companies, thus providing a stronger and wider capital and financial base for future growth/expansion of the Transferee Company 2;

(vi) Post-Amalgamation of Transferor Company 1 and Transferor Company 2 with the Transferor Company 3 /Transferee Company 1 and the Amalgamation of Transferor Company 3 and Transferor Company 4 with the Transferee Company 2, all the Transferor Companies shall stand dissolved. Consequently, there would be lesser regulatory and legal compliance obligations including accounting, reporting requirements, statutory requirements, tax filings, company law requirements, etc. and therefore reduction in administrative costs.

(vii) Reduction in value of CCD's will reduce liability to the extent of Rs. 60 per debenture and as proposed in the Composite Scheme it will get adjusted against accumulated losses which will result in more true and fair view of the financial position of ESMTL.

In view of the aforesaid, the Board of Directors of the Companies have considered and proposed the present Composite Scheme for Amalgamation between Transferor

Company 1 and Transferor Company 2 in Transferee Company 1 and Amalgamation of Transferor Company 3 and Transferor Company 4 in the Transferee Company 2 and reduction in the face value of CCD's of the Transferee Company 2 as enumerated in the Scheme.

This Composite Scheme also provides for various other matters consequential or otherwise integrally connected herewith.

For sake of convenience, this Composite Scheme is divided into following parts:

Part A -	Dealing with definitions and share capital.
Part B -	Dealing with Amalgamation of Transferor Company 1 and Transferor Company 2 with Transferee Company 1.
Part C –	Dealing with Amalgamation of Transferor Company 3/Transferee Company 1, and Transferor Company 4 with Transferee Company 2.
Part D –	Dealing with the reduction of Compulsorily Convertible Debentures (CCD's) in ESMTL and alteration in the terms of issue.
Part E -	Dealing with general terms and conditions.

PART A

DEFINITIONS AND SHARE CAPITAL

DEFINITIONS

In this Composite Scheme, unless repugnant to or inconsistent with the subject or context thereof, the following expressions shall have the following meanings:

1.1 **"Act"** or "the Act" means the Companies Act, 2013 and the rules and regulations made thereunder as the case may be, and shall include any statutory modifications, re-enactment or amendments thereof for the time being in force.

1.2 **"Accounting Standards"** means the Indian Accounting Standards (Ind AS), as notified under section 133 of the Companies Act 2013.

1.3 **"Amalgamation"** means Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferee Company 1 and Amalgamation of Transferor Company 3/ Transferee Company 1 and Transferor Company 4 with the Transferee Company 2 in accordance with Section 2(1B) of the Income Tax Act, 1961.

1.4 **"Applicable Law"** means any applicable statute, law, regulation, ordinance, rule, judgment, order, decree, clearance, approval, directive, guideline, requirement or any similar form of determination by or decision of any Appropriate Authority, that is binding or applicable to a Person, whether in effect as of the date of on which this Composite Scheme has been approved by the Boards of Directors of the Companies or at any time thereafter;

1.5 **"Appointed Date"** means the 1st day of April, 2021 for the purposes of Section 230 and 232(6) of the Companies Act, 2013;

1.6 **"Appropriate Authority"** means any applicable Central, State or Local Government, Legislative Body, Regulatory, Administrative or Statutory Authority or Public or Judicial Body or Authority, including, but not limited, to Regional Directors, Registrar of Companies and National Company Law Tribunal, Mumbai and Ahmedabad.

1.7 **"Board of Directors" or "Board"** means the Board of Directors of the Transferor Companies or the Transferee Companies, as the case may be, and shall include a duly constituted Committee thereof;

1.8 **"Companies"** shall collectively mean FSCL (Transferor Company 1), ATL (Transferor Company 2), EIHL (Transferor Company 3/Transferee Company 1), [illegible]SL (Transferor Company 4) and ESMTL (Transferee Company 2).

1.9 **"Composite Scheme" or "the Composite Scheme" or "this Composite Scheme" or "Composite Scheme of Arrangement"** means this Composite Scheme of Arrangement in its present form or with any modification(s) made under Clause 26 of this Composite Scheme or any modifications approved or directed by the National Company Law Tribunal or any other Government Authority;

1.10 **"Effective Date"** means the last of the dates, if applicable, on which the certified or authenticated copy(ies) of the order(s) sanctioning the Composite Scheme passed by the National Company Law Tribunal at Mumbai for Transferor Company 1, Transferor Company 2 and Transferor Company 3/ Transferee Company 1 and order(s) sanctioning the Composite Scheme passed by the National Company Law Tribunal at Ahmedabad for Transferor Company 4 and Transferee Company 2, is filed with the Registrar of Companies Maharashtra, Mumbai and Registrar of Companies, Ahmedabad respectively.

1.11 **"Governmental Authority"** means any applicable Central, State or local Government, legislative body, regulatory or administrative authority, agency or commission or any court, tribunal, board, bureau or instrumentality thereof or arbitration or arbitral body having jurisdiction;

1.12 **"Income Tax Act"** means the Income Tax Act, 1961, including any statutory modifications, re-enactments or amendments thereof for the time being force.

1.13 **"Input Tax Credit"** means CENVAT Credit as defined under the CENVAT Credit Rules, 2004 and GST Input credit as defined in Central Goods & Service Tax Act, 2017 ('CGST'), Integrated Goods & Service Tax Act, 2017 ('IGST') and respective State Goods & Service Tax laws ('SGST') and any other tax credits under any indirect tax law (including Goods & Services Tax Rules/ Act) for the time being in force.

1.14 **"National Company Law Tribunal"** or **"NCLT"** or **"Tribunal"** means the competent authority under the provisions of Sections 230 to 232 and other applicable provisions of the Act and specifically refers to the National Company Law Tribunal, Mumbai Bench for the Transferor Company 1, Transferor Company 2 and Transferor Company 3/ Transferee Company 1 and National Company Law Tribunal, Ahmedabad Bench for the Transferor Company 4 and Transferee Company 2. The Jurisdictions with respect to the Companies involved in the Composite Scheme is based on the location of their registered offices located in the State of Maharashtra and in the State of Gujarat respectively.

1.15 **"ROC"** means the Registrar of Companies Maharashtra, Mumbai and Registrar of Companies, Ahmedabad.

1.16 **"Transferor Companies"** means FSCL (Transferor Company 1), ATL (Transferor Company 2), EIHL (Transferor Company 3/Transferee Company 1) and BPSL (Transferor Company 4).

1.17 **"Undertaking 1"** means and includes the whole of the undertaking / business of Transferor Company 1 and Transferor Company 2 as a going concern, being carried on by the said Transferor Company 1 and Transferor Company 2 and shall include (without limitation):

(a) All the assets and properties, whether movable or immovable, real or personal, in possession or reversion, corporeal or incorporeal, tangible or

intangible, present or contingent and including but not limited to land and building, all fixed and movable plant and machinery, vehicles, fixed assets, work in progress, current assets, investments, reserves, provisions, funds, licenses, registrations, membership of professional associations, other associations and clubs, certificates, permissions, consents, approvals from state, central, municipal or any other authority for the time being in force, concessions (including but not limited to income-tax, excise duty, service tax (Goods and Service Tax) or customs, goods and service tax (Goods and Service Tax)and other incentives of any nature whatsoever, remissions, remedies, subsidies, guarantees, bonds, copyrights, patents, trade names, trade-marks and other rights and licenses including any applications in respect thereof, tenancy rights, leasehold rights, premises, ownership flats, hire purchase, lending arrangements, benefits of security arrangements, security contracts, computers, insurance policies, office equipment, telephones, telexes, facsimile connections, communication facilities, equipment and installations and utilities, electricity, water and other service connections, contracts, deeds, instruments, agreements and arrangements, powers, authorities, permits, registrations / licenses etc. including pertaining to expatriates, allotments, privileges, liberties, advantages, easements and all the right, title, interest, goodwill, benefit and advantage, deposits, reserves, preliminary expenses, benefit of deferred revenue expenditure, provisions, advances, receivables, deposits, funds, cash, bank balances, accounts and all other rights, benefits of all agreements, subsidies, grants, incentives, tax credits (including but not limited to credits in respect of income-tax, minimum alternate tax i.e. tax on book profits, value added tax, sales tax, service tax (Goods and Service Tax), goods and service tax (Goods and Service Tax etc.), tax benefits, tax losses (unabsorbed allowances), and other claims and powers, all books of accounts, documents and records of whatsoever nature and where so ever situated belonging to or in the possession of or granted in favor of or enjoyed by the Transferor Company 1 and Transferor Company 2 as on the date immediately preceding the Appointed Date;

(b) All the debts, present and future liabilities, payables, contingent liabilities, duties and obligations (including duties/ rights/ obligations under any agreement, contracts, applications, letters of intent or any other contracts) as on the date immediately preceding the Appointed Date; and

(c) All employees if any on the payrolls of the Transferor Company 1 and Transferor Company 2 on the closing hours of the date immediately preceding the Effective Date.

It is intended that the definition of Undertaking 1 under this clause would enable the transfer of all property, assets, rights, duties, employees and liabilities of Transferor Company 1 and Transferor Company 2 into the Transferee Company 1 pursuant to this Composite Scheme of Arrangement.

1.18 **"Undertaking 2"** means and includes the whole of the undertaking / business of Transferor Company 3/Transferee Company 1 and Transferor Company 4 as a going concern, being carried on by the said Transferor Company 3 and Transferor Company 4 and shall include (without limitation):

a) All the assets and properties, whether movable or immovable, real or personal, in possession or reversion, corporeal or incorporeal, tangible or intangible, present or contingent and including but not limited to land and building, all fixed and movable plant and machinery, vehicles, fixed assets, work in progress, current assets, investments, reserves, provisions, funds, licenses, registrations, membership of professional associations, other associations and clubs, certificates, permissions, consents, approvals from state, central, municipal or any other authority for the time being in force, concessions (including but not limited to income-tax, excise duty, service tax (Goods and Service Tax) or customs, goods and service tax (Goods and Service Tax) and other incentives of any nature whatsoever, remissions, remedies, subsidies, guarantees, bonds, copyrights, patents, trade names, trade-marks and other rights and licenses including any applications in respect thereof, tenancy rights, leasehold rights, premises, ownership flats, hire purchase, lending arrangements, benefits of security arrangements, security contracts, computers, insurance policies, office equipment, telephones, telexes, facsimile connections, communication facilities, equipment and installations and utilities, electricity, water and other service connections, contracts, deeds, instruments, agreements and arrangements, powers, authorities, permits, registrations / licenses etc. including pertaining to expatriates, allotments, privileges, liberties, advantages, easements and all the right, title, interest, goodwill, benefit and advantage, deposits, reserves, preliminary expenses, benefit of deferred revenue expenditure, provisions, advances, receivables, deposits, funds, cash, bank balances, accounts and all other rights, benefits of all agreements, subsidies, grants, incentives, tax credits (including but not limited to credits in respect of income-tax, minimum alternate tax i.e. tax on book profits, value added tax, sales tax, service tax (Goods and Service Tax), goods and service tax (Goods and Service Tax etc.), tax benefits, tax losses (unabsorbed allowances), and other claims and powers, all books of accounts, documents and records of

whatsoever nature and where so ever situated belonging to or in the possession of or granted in favor of or enjoyed by the Transferor Company 3/Transferee Company 1 and Transferor Company 4, as on the date immediately preceding the Appointed Date;

b) All the debts, present and future liabilities, payables, contingent liabilities, duties and obligations (including duties/ rights/ obligations under any agreement, contracts, applications, letters of intent or any other contracts) as on the date immediately preceding the Appointed Date; and

c) All employees if any on the payrolls of the Transferor Company 3/Transferee Company 1 and Transferor Company 4 on the closing hours of the date immediately preceding the Effective Date.

It is intended that the definition of Undertaking 2 under this clause would enable the transfer of all property, assets, rights, duties, employees and liabilities of Transferor Company 3/Transferee Company 1 and Transferor Company 4 into the Transferee Company 2 pursuant to this Composite Scheme of Arrangement.

1.19 **"FSCL" or "Transferor Company 1"** means 'Frontier Steel Components Limited' bearing CIN U50102MH2007PLC170233.

1.20 **"ATL" or "Transferor Company 2"** means 'Atubha Tech Limited' bearing CIN U72900MH2009PLC192075.

1.21 **"EIHL" or "Transferor Company 3" or "Transferee Company 1"** means 'Edwell Infrastructure Hazira Limited' bearing CIN U70100MH2006FLC159272.

1.22 **"BPSL" or "Transferor Company 4"** means 'Bhagwat Power Salaya Limited' bearing CIN U40300GJ2009PLC062729.

1.23 **"ESMTL" or "Transferee Company 2"** means 'Essar Steel Metal Trading Limited' bearing CIN U27100GJ2005PLC046272.

The expressions which are used in this Composite Scheme and not defined in this Composite Scheme shall, unless repugnant or contrary to the context or meaning hereof, have the same meanings ascribed to them under the Act and other applicable laws, rules, regulations, bye-laws, as the case may be.

2. **DATE OF TAKING EFFECT**

The Composite Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the National Company Law Tribunal Mumbai and Ahmedabad Benches as mentioned under Clause 26 of the Composite Scheme shall be effective from the Appointed Date but shall become operative from the Effective Date. The Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferee Company 1 and the Amalgamation of Transferor Company 3/Transferee Company 1 and Transferor Company 4 with the Transferee Company 2 shall be in accordance with Section 2(1B) of the Income-tax Act, 1961.

3. **SHARE CAPITAL**

3.1. The Share Capital structure of the Transferor Company 1 as on the date of approval of this Composite Scheme by the Board of Directors of Transferor Company 1 is as under:

Particulars	Amount in Rs.
Authorized Share Capital	
50,000 Equity Shares of Rs. 10/- each	5,00,000
Total	**5,00,000**
Issued, Subscribed and Paid-up	
50,000 Equity Shares of Rs. 10/- each	5,00,000
Total	**5,00,000**

There has been no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company 1 since approval of this Composite Scheme by Board of Directors of Transferor Company 1.

3.2. The Share Capital structure of the Transferor Company 2 as on the date of approval of this Composite Scheme by the Board of Directors of Transferor Company 2 is as under:

Particulars	Amount in Rs.
Authorized Share Capital	
50,000 equity shares of Rs. 10 each	5,00,000
Total	**5,00,000**
Issued, Subscribed and Paid-up	
50,000 equity shares of Rs. 10 each	5,00,000
Total	**5,00,000**

There has been no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company 2 since approval of this Composite Scheme by Board of Directors of Transferor Company 2.

3.3. The Share Capital structure of the Transferor Company 3 as on the date of approval of this Composite Scheme by the Board of Directors of Transferor Company 3 is as under:

Particulars	Amount in Rs.
Authorized Share Capital	
10,000,000 Equity Shares of Rs. 10/- each	10,00,00,000
Total	**10,00,00,000**
Issued, Subscribed and Paid-up	
4,940,028 Equity Shares of Rs. 10/- each	4,94,00,280
Total	**4,94,00,280**

There has been no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company 3 since approval of this Composite Scheme by Board of Directors of Transferor Company 3.

3.4. The Share Capital structure of the Transferor Company 4 as on the date of approval of this Composite Scheme by the Board of Directors of Transferor Company 4 is as under:

Particulars	Amount in Rs.
Authorized Share Capital	
4,20,10,50,000 Equity Shares of Rs. 10/- each	42,01,05,00,000/-
1,00,00,00,000 Preference Shares of Rs. 10/- each	10,00,00,00,000/-
Total	**52,01,05,00,000/-**
Issued, Subscribed and Paid-up	
28,95,50,000 Equity Shares of Rs. 10/- each	2,89,55,00,000/-
Total	**2,89,55,00,000/-**

There has been no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company 4 since approval of this Composite Scheme by Board of Directors of Transferor Company 4.

3.5. The Share Capital structure of the Transferee Company 2 as on the date of approval of this Composite Scheme by the Board of Directors Transferee Company 2 is as under:

Particulars	Amount in Rs.
Authorized Share Capital	
1,36,50,000 Equity shares of Rs.10 /- each	13,65,00,000
4,17,00,000 Compulsorily Convertible Cumulative Participating Preference Shares of Rs.10 /- each	41,70,00,000/-
Total	**55,35,00,000/-**
Issued, Subscribed and Paid-up	
12,223,310 Equity Shares of Rs. 10 each	122,233,100/-
Total	**122,233,100/-**

There has been no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferee Company 2 since approval of this Composite Scheme by Board of Directors of Transferee Company 2.

PART B

AMALGAMATION OF THE TRANSFEROR COMPANY 1 AND TRANSFEROR COMPANY 2, WITH THE TRANSFEREE COMPANY 1

Amalgamation of FSCL and ATL with EIHL as a going concern shall be in the following manner:

COMPLIANCE WITH TAX LAWS

4.1. This Composite Scheme has been drawn up to comply with the conditions as specified under Section 2(1B) of the Income-tax Act, 1961 and other relevant provisions of the Income-tax Act, 1961. If any terms or provisions of the Composite Scheme are found or interpreted to be inconsistent with the provisions of the said section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Composite Scheme becomes effective, the provisions of the said section of the Income-tax Act, 1961 shall prevail and the Composite Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) of the Income-tax Act, 1961 and other relevant provisions of the Income-tax Act, 1961.

4.2. On or after the Effective Date, the Transferor Company 1, Transferor Company 2, and the Transferee Company 1 are expressly permitted to revise their financial statements and returns along with prescribed forms, filings and annexure under

the Income-tax Act, 1961, Wealth-tax Act, 1957 (including for the purpose of re-computing tax on book profits, wealth tax purposes and claiming other tax benefits), service tax (Goods and Service Tax) law, Goods and Service Tax (Goods and Service Tax)and other tax laws, and to claim refunds and/or credits for taxes paid, and to claim tax benefits, etc., and for matters incidental thereto, if required to give effect to the provisions of the Composite Scheme from the Appointed Date.

4.3. All tax assessment proceedings/ appeals of whatsoever nature by or against the Transferor Company 1 and Transferor Company 2 pending and/or arising at the Appointed Date and relating to the Transferor Company 1 and Transferor Company 2 shall be continued and/or enforced until the Effective Date as desired by the Transferee Company 1. As and from the Effective Date, the tax proceedings shall be continued and enforced by or against the Transferee Company 1 in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company 1 and Transferor Company 2. Further, the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferee Company 1 or anything contained in the Composite Scheme of Arrangement.

4.4. Any tax liabilities under the Income-tax Act, 1961, Wealth-tax Act, 1957, Customs Act 1962, Service tax (Goods and Service Tax) laws, Goods and Service tax (Goods and Service Tax) laws applicable State Value Added Tax laws or other applicable laws/ regulations dealing with taxes/ duties/ levies allocable or related to the Transferor Company 1 and Transferor Company 2 to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date shall be transferred to Transferee Company 1. Any surplus in the provision for taxation / duties/ levies account including advance tax and tax deducted at source as on the date immediately preceding the Appointed Date will also be transferred to the account of the Transferee Company 1.

4.5. Any refund under the Income-tax Act, 1961, Wealth-tax Act, 1957, Customs Act 1962, Service tax (Goods and Service Tax) laws, applicable State Value Added Tax laws or other applicable laws/ regulations dealing with taxes/ duties/ levies allocable or related to the Transferor Company 1 and Transferor Company 2 and due to the said Transferor Companies consequent to the assessment made on the said Transferor Company 1 and Transferor Company 2 for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Transferee Company 1.

4.6. All taxes/ credits including income-tax, tax on book profits, credit on Minimum Alternate Tax under section 115JAA of the Income-tax Act, 1961, sales tax, excise

duty, custom duty, service tax (Goods and Service Tax), value added tax, Goods and Service Tax (Goods and Service Tax) etc. paid or payable by the said Transferor Companies in respect of the operations and/ or the profits of the undertaking 1 before the Appointed Date, shall be on account of the Transferor Company 1 and Transferor Company 2 and, in so far as it relates to the tax payment (including, without limitation, income-tax, tax on book profits, sales tax, excise duty, custom duty, service tax (Goods and Service Tax), value added tax, goods and service tax (Goods and Service Tax), etc. whether by way of deduction at source, advance tax, MAT credit or otherwise howsoever, by the respective Transferor Company 1 and Transferor Company 2 in respect of the profits or activities or operation of the business after the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company 1 and shall, in all proceedings, be dealt with accordingly. Further, any tax deducted at source by the Transferor Company 1 and Transferor Company 2 and the Transferee Company 1 on payables to said Transferor Company 1 and Transferor Company 2 / the Transferee Company 1 respectively which has been deemed not to be accrued, shall be deemed to be advance taxes paid by the Transferee Company 1 and shall, in all proceedings, be dealt with accordingly.

4.7. Obligation for deduction of tax at source on any payment made by or to be made by the Transferor Company 1 and Transferor Company 2 under the Income-tax Act, 1961, Wealth-tax Act, 1957, service tax (Goods and Service Tax) laws, customs law, state value added tax, goods and service tax (Goods and Service Tax) or other applicable laws / regulations dealing with taxes/ duties / levies shall be made or deemed to have been made and duly complied with by the Transferee Company 1.

4.8. Without prejudice to the generality of the above, all benefits, incentives, losses, credits (including, without limitation income tax, tax on book profits, service tax (Goods and Service Tax), applicable state value added tax etc.) to which the Transferor Company 1 and Transferor Company 2 are entitled to in terms of applicable laws, shall be available to and vest in the Transferee Company 1.

5. TRANSFER AND VESTING OF THE TRANSFEROR COMPANY 1 AND TRANSFEROR COMPANY 2 INTO THE TRANSFEREE COMPANY 1

Subject to the provisions of this Composite Scheme as specified herein and with effect from the Appointed Date, the entire undertaking 1 of the Transferor Company 1 and Transferor Company 2 shall be transferred to and vested in or be deemed to be transferred to and vested in the Transferee Company 1 in the following manner:

5.1. The Undertaking 1 of the Transferor Company 1 and Transferor Company 2 comprising its business, all assets and liabilities of whatsoever nature and where-so-

ever situated, shall, under the provisions of Sections 230 to 232 and all other applicable provisions, if any, of the Act, without any further act or deed (save as provided in clauses 5.2 and 5.3 below), be transferred to and vested in and/ or be deemed to be transferred to and vested in the Transferee Company 1 as a going concern so as to become as from the Appointed Date the undertaking 1 of the Transferee Company 1 and to vest in the Transferee Company 1 all the rights, title, interest or obligations of the Transferor Company 1 and Transferor Company 2 therein.

5.2. All the movable assets of the Transferor Company 1 and Transferor Company 2, capable of passing by physical delivery or by endorsement and delivery, shall be so transferred to the Transferee Company 1 and deemed to have been physically handed over by physical delivery or by endorsement and delivery, as the case may be, without the need to execute any separate instrument, to the Transferee Company 1 to the end and intent that the property and benefit therein passes to the Transferee Company 1 with effect from the Appointed Date.

5.3. In respect of any assets of the Transferor Company 1 and Transferor Company 2, other than those mentioned in Sub Clause 5.2 above, including sundry debtors, deferred tax asset, outstanding loans and advances, if any, recoverable in cash or kind or for value to be received, bank balances and deposits, if any, with the Government, semi-Government, local and other authorities and bodies, customers and other persons, the same shall, without any further act, instrument or deed, be transferred to and stand vested in and /or be deemed to be transferred to and stand vested in the Transferee Company 1 under the provisions of Sections 230 to 232 of the Act.

5.4. With effect from the Appointed Date, all debts, liabilities (including deferred tax liabilities and contingent liabilities), duties and obligations of the Transferor Company 1 and Transferor Company 2, as on the Appointed Date whether provided for or not in the books of accounts of the Transferor Company 1 and Transferor Company 2, and all other liabilities which may accrue or arise after the Appointed Date but which relate to the period on or up to the day of the Appointed Date shall, pursuant to the Orders of the National Company Law Tribunal or such other competent authority as may be applicable under provisions of the Act, without any further act or deed, be transferred or deemed to be transferred to and vested in the Transferee Company 1, so as to become as from the Appointed Date the debts, liabilities (including deferred tax liabilities and contingent liabilities), duties and obligations of the Transferee Company 1 on the same terms and conditions as were applicable to the Transferor Company 1 and Transferor Company 2.

5.5. Without prejudice to the above provisions, with effect from the Appointed Date, all Inter-party transactions (Including Investments) between the Transferor Company

1, Transferor Company 2 and the Transferee Company 1 shall be considered as Intra-party transactions for all purposes from the Appointed Date.

6. **CONSIDERATION**

6.1. As the Transferor Company 1 and Transferor Company 2 are the wholly-owned subsidiaries of the Transferee Company 1, no consideration shall be payable pursuant to the Composite Scheme of Arrangement for the Amalgamation of the Transferor Company 1 and Transferor Company 2 with the Transferee Company 1, and the shares held by the Transferee Company 1 in the Transferor Company 1 and Transferor Company 2 shall stand cancelled without any further act, application or deed.

6.2. If any, cross holdings of Shares between the Transferor Company 1, Transferor Company 2 and Transferee Company 1 as on the Record /appointed date be treated as cancelled and extinguished and consequent reduction in the capital of the Transferee Company 1, if any, shall be effected on without following the procedure laid down in section 66 of the Companies Act, 2013 on the basis of the principle of single window clearance. The said cancellation shall result in reduction of Capital under Section 66 of the Act. However, since the aforesaid reduction is consequential and is proposed as an integral part of the Composite Scheme, the Transferee Company 1 shall not be required to undertake separate procedure under Section 66 of the Act, Further, as the reduction does not result in either diminution of liability in respect of unpaid share capital or payment to any shareholder of any paid-up share capital, the provisions of Section 66 of the Act shall not be applicable. The order of the NCLT sanctioning the Composite Scheme shall be deemed to be the order under Section 66 of the Companies Act, 2013 for the purpose of confirming the reduction. Further, the Transferee Company 1 shall not be required to add 'and reduced' as suffix to its name consequent upon such reduction.

7. **LEGAL PROCEEDINGS**

If any legal proceedings including but not limited to suits, summary suits, indigent petitions, appeal, or other proceedings of whatever nature (hereinafter called "the proceedings") by or against Transferor Company 1 and Transferor Company 2 are pending as on the Effective Date, the same shall not abate or be discontinued or be in any way prejudicially affected by reason of the transfer of the entire business and Undertaking 1 of the Transferor Company 1 and Transferor Company 2 or of anything contained in the Composite Scheme, but the proceedings shall be continued, prosecuted and enforced by or against the Transferee Company 1 in the same manner and to the same extent as they would or might have been continued, prosecuted or enforced by or against the Transferor Company 1 and Transferor

Company 2 if the Composite Scheme had not been made. On and from the Effective Date, the Transferee Company 1 may initiate any legal proceeding for and on behalf of the Transferor Company 1 and Transferor Company 2.

8. **EMPLOYEES OF TRANSFEROR COMPANY 1 AND TRANSFEROR COMPANY 2**

8.1. On the Composite Scheme coming into effect, all staff, workmen and employees (including those on sabbatical / maternity leave) of the Transferor Company 1 and Transferor Company 2 in service on the Effective Date shall be deemed to have become staff, workmen and employees of the Transferee Company 1 with effect from the Effective Date without any break or interruption in their service and on the terms and conditions not less favourable than those applicable to them with reference to the Transferor Company 1 and Transferor Company 2 on the Effective Date, if any.

8.2. It is expressly provided that, in so far as the Gratuity Fund, Provident Fund, Super Annuation Fund or any other Special Scheme(s)/Fund(s) (hereinafter referred as "Fund or Funds") created or existing for the benefit of the staff, workmen and employees of the Transferor Company 1 and Transferor Company 2 are concerned, upon the Composite Scheme coming into effect, the Transferee Company 1 shall stand substituted for the Transferor Company 1 and Transferor Company 2 for all purposes whatsoever in relation to the administration or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Fund or Funds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Company 1 and Transferor Company 2 in relation to such Fund or Funds shall become those of the Transferee Company 1 and all the rights, duties and benefits of the staff, workmen and employees of the Transferor Company 1 and Transferor Company 2 under such Fund or Funds shall be protected, subject to the provisions of law for the time being in force. It is clarified that the services of the staff, workmen and employees of the Transferor Company 1 and Transferor Company 2 will be treated as having been continuous for the purpose of the said Fund or Funds and for other benefits such as long service awards, if any.

9. **BUSINESS AND PROPERTY IN TRUST FOR TRANSFEREE COMPANY 1**

9.1. With effect from the Appointed Date up to and including the Effective Date:

(a) The Transferor Company 1 and Transferor Company 2 shall carry on and be deemed to have carried on their respective business and activities and shall stand possessed of whole of their respective undertaking 1, in trust for the Transferee Company 1 and shall account for the same to the Transferee Company 1.

(b) Any income or profit accruing or arising to the Transferor Company 1 and Transferor Company 2 and all costs, charges, expenses and losses or taxes (including but not limited to advance tax, tax deducted at source, tax on book profits credit, taxes withheld/paid in a foreign country, etc.), incurred by the Transferor Company 1 and Transferor Company 2 shall for all purposes be treated as the income, profits, costs, charges, expenses and losses or taxes, as the case may be, of the Transferee Company 1 and shall be available to the Transferee Company 1 for being disposed-off in any manner as it thinks fit.

9.2. With effect from the Appointed Date, all debts, liabilities, duties and obligations of the Transferor Company 1 and Transferor Company 2 as on the close of business hours on the date preceding the Appointed Date, whether or not provided in the books of the Transferor Company 1 and Transferor Company 2, and all liabilities debts, duties, obligations which arise or accrue on or after the Appointed Date shall be deemed to be the debts, liabilities, duties and obligations of the Transferee Company 1.

10. SAVING OF CONCLUDED TRANSACTIONS

The transfer and vesting of the entire business and Undertaking 1 of the Transferor Company 1 and Transferor Company 2 pursuant to this Composite Scheme, and the continuance of proceedings under Clause 7 above shall not affect any transaction or proceedings already concluded by the Transferor Company 1 and Transferor Company 2 on or after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company 1 accepts and adopts all acts, deeds and things done and executed by the Transferor Company 1 and Transferor Company 2 in respect thereto, as if done and executed on its behalf.

11. ACCOUNTING TREATMENT

11.1. The Transferee Company 1 shall upon the Composite Scheme coming into effect and with effect from Appointed Date, record the assets, liabilities and reserves (excluding shareholder's equity) of the Transferor Company 1 and Transferor Company 2 vested in it pursuant to this Composite Scheme, at the respective book values thereof and in the same form as appearing in the books of the Transferor Company 1 and Transferor Company 2 at the close of business of the day immediately preceding the Appointed Date.

11.2. Upon the Composite Scheme coming into effect, the excess or deficit, if any, remaining after recording the aforesaid entries shall be credited by the Transferee Company 1 to Capital Reserve Account or debited to Goodwill, as the case may be. The reserves created by virtue of Amalgamation should not be available for distribution or declaration of any Dividend. The Transferee Company 1 shall record in its books of accounts, all the transactions of the Transferor Company 1 and

Transferor Company 2 in respect of assets, liabilities, income and expenses at their book values from the Appointed Date to the Effective Date.

11.3. The Transferee Company 1 shall abide by the pooling of interest method referred to in Accounting Standard 14 – 'Accounting for Amalgamation' issued by the Institute of Chartered Accountants of India, subject to provisions of this Composite Scheme.

PART C

AMALGAMATION OF THE TRANSFEROR COMPANY 3/TRANSFEREE COPMANY 1, TRANSFEROR COMPANY 4 WITH THE TRANSFEREE COMPANY 2

Amalgamation of EIHL and BPSL with ESMTL as a going concern shall be in the following manner:

12. COMPLIANCE WITH TAX LAWS

12.1. This Composite Scheme has been drawn up to comply with the conditions as specified under Section 2(1B) of the Income-tax Act, 1961 and other relevant provisions of the Income-tax Act, 1961. If any terms or provisions of the Composite Scheme are found or interpreted to be inconsistent with the provisions of the said section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Composite Scheme becomes effective, the provisions of the said section of the Income-tax Act, 1961 shall prevail and the Composite Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) of the Income-tax Act, 1961 and other relevant provisions of the Income-tax Act, 1961.

12.2. On or after the Effective Date, the Transferor Company 3 and Transferor Company 4 are expressly permitted to revise their financial statements and returns along with prescribed forms, filings and annexure under the Income-tax Act, 1961, Wealth-tax Act, 1957 (including for the purpose of re-computing tax on book profits, wealth tax purposes and claiming other tax benefits), service tax (Goods and Service Tax) law, goods and service tax (Goods and Service Tax)and other tax laws, and to claim refunds and/or credits for taxes paid, and to claim tax benefits, etc., and for matters incidental thereto, if required to give effect to the provisions of the Composite Scheme from the Appointed Date.

12.3. All tax assessment proceedings/ appeals of whatsoever nature by or against the Transferor Company 3 and Transferor Company 4 pending and/or arising at the Appointed Date and relating to the Transferor Company 3 and Transferor Company 4 shall be continued and/or enforced until the Effective Date as desired by the Transferee Company 2. As and from the Effective Date, the tax proceedings shall be continued and enforced by or against the Transferee Company 2 in the same manner and to the same extent as would or might have been continued

and enforced by or against the Transferor Company 3 and Transferor Company 4. Further, the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the Amalgamation of the Transferor Company 3 and Transferor Company 4 or anything contained in the Composite Scheme of Arrangement.

12.4. Any tax liabilities under the Income-tax Act, 1961, Wealth-tax Act, 1957, Customs Act 1962, Service tax (Goods and Service Tax) laws, Goods and Service tax (Goods and Service Tax) laws applicable State Value Added Tax laws or other applicable laws/ regulations dealing with taxes/ duties/ levies allocable or related to the Transferor Company 3 and Transferor Company 4 to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date shall be transferred to Transferee Company 2. Any surplus in the provision for taxation/ duties/ levies account including advance tax and tax deducted at source as on the date immediately preceding the Appointed Date will also be transferred to the account of the Transferee Company 2.

12.5. Any refund under the Income-tax Act, 1961, Wealth-tax Act, 1957, Customs Act 1962, Service tax (Goods and Service Tax) laws, applicable State Value Added Tax laws or other applicable laws/ regulations dealing with taxes/ duties/ levies allocable or related to the Transferor Company 3 and Transferor Company 4 and due to the said Transferor Company 3 and Transferor Company 4 consequent to the assessment made on the said Transferor Company 3 and Transferor Company 4 for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Transferee Company 2.

12.6. All taxes/ credits including income-tax, tax on book profits, credit on Minimum Alternate Tax under section 115JAA of the Income-tax Act, 1961, sales tax, excise duty, custom duty, service tax (Goods and Service Tax), value added tax, goods and service tax (Goods and Service Tax) etc. paid or payable by the Transferor Company 3 and Transferor Company 4 in respect of the operations and/ or the profits of the undertaking 2 before the Appointed Date, shall be on account of the Transferor Company 3 and Transferor Company 4 and, in so far as it relates to the tax payment (including, without limitation, income-tax, tax on book profits, sales tax, excise duty, custom duty, service tax (Goods and Service Tax), value added tax, goods and service tax (Goods and Service Tax), etc. whether by way of deduction at source, advance tax, MAT credit or otherwise howsoever, by the respective Transferor Company 3 and Transferor Company 4 in respect of the profits or activities or operation of the business after the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company 2 and shall, in all proceedings, be dealt with accordingly. Further, any

tax deducted at source by the Transferor Company 3 and Transferor Company 4 and the Transferee Company 2 on payables to said Transferor Companies/ the Transferee Company 2 respectively which has been deemed not to be accrued, shall be deemed to be advance taxes paid by the Transferee Company 2 and shall, in all proceedings, be dealt with accordingly.

12.7. Obligation for deduction of tax at source on any payment made by or to be made by the Transferor Company 3 and Transferor Company 4 under the Income-tax Act, 1961, Wealth-tax Act, 1957, service tax (Goods and Service Tax) laws, customs law, state value added tax, goods and service tax (Goods and Service Tax) or other applicable laws / regulations dealing with taxes/ duties / levies shall be made or deemed to have been made and duly complied with by the Transferee Company 2.

12.8. Without prejudice to the generality of the above, all benefits, incentives, losses, credits (including, without limitation income tax, tax on book profits, service tax (Goods and Service Tax), applicable state value added tax etc.) to which the Transferor Company 3 and Transferor Company 4 are entitled to in terms of applicable laws, shall be available to and vest in the Transferee Company 2.

13. TRANSFER AND VESTING OF THE TRANSFEROR COMPANY 3/TRANSFEREE COMPANY 1 AND TRANSFEROR COMPANY 4 INTO THE TRANSFEREE COMPANY 2

Subject to the provisions of this Composite Scheme as specified herein and with effect from the Appointed Date, the entire undertaking 2 of the Transferor Company 3 and Transferor Company 4 shall be transferred to and vested in or be deemed to be transferred to and vested in the Transferee Company 2 in the following manner:

13.1. The Undertaking 2 of the Transferor Company 3 and Transferor Company 4 comprising its business, all assets and liabilities of whatsoever nature and where-so-ever situated, shall, under the provisions of Sections 230 to 232 and all other applicable provisions, if any, of the Act, without any further act or deed (save as provided in clauses 13.2 and 13.3 below), be transferred to and vested in and/ or be deemed to be transferred to and vested in the Transferee Company 2 as a going concern so as to become as from the Appointed Date the Undertaking 2 of the Transferee Company 2 and to vest in the Transferee Company 2 all the rights, title, interest or obligations of the Transferor Company 3 and Transferor Company 4 therein.

13.2. All the movable assets of the Transferor Company 3 and Transferor Company 4 capable of passing by physical delivery or by endorsement and delivery, shall be so transferred to the Transferee Company 2 and deemed to have been physically handed over by physical delivery or by endorsement and delivery, as the case may be, without the need to execute any separate instrument, to the Transferee Company 2 to the end and intent that the property and benefit therein passes to the

Transferee Company 2 with effect from the Appointed Date.

13.3. In respect of any assets of the Transferor Company 3 and Transferor Company 4, other than those mentioned in Sub Clause 13.2 above, including sundry debtors, deferred tax asset, outstanding loans and advances, if any, recoverable in cash or kind or for value to be received, bank balances and deposits, if any, with the Government, semi-Government, local and other authorities and bodies, customers and other persons, the same shall, without any further act, instrument or deed, be transferred to and stand vested in and /or be deemed to be transferred to and stand vested in the Transferee Company 2 under the provisions of Sections 230 to 232 of the Act.

13.4. With effect from the Appointed Date, all debts, liabilities (including deferred tax liabilities and contingent liabilities), duties and obligations of the Transferor Company 3 and Transferor Company 4, as on the Appointed Date whether provided for or not in the books of accounts of the Transferor Company 3 and Transferor Company 4, and all other liabilities which may accrue or arise after the Appointed Date but which relate to the period on or up to the day of the Appointed Date shall, pursuant to the Orders of the National Company Law Tribunal or such other competent authority as may be applicable under provisions of the Act, without any further act or deed, be transferred or deemed to be transferred to and vested in the Transferee Company 2, so as to become as from the Appointed Date the debts, liabilities (including deferred tax liabilities and contingent liabilities), duties and obligations of the Transferee Company 2 on the same terms and conditions as were applicable to the Transferor Company 3 and Transferor Company 4.

13.5. Without prejudice to the above provisions, with effect from the Appointed Date, all inter-party transactions (including investments) between the Transferor Company 3 and Transferor Company 4 and the Transferee Company 2 shall be considered as intra-party transactions for all purposes from the Appointed Date.

14. CONSIDERATION

14.1. As the Transferor Company 3 and Transferor Company 4 are the wholly-owned subsidiaries of the Transferee Company 2, no consideration shall be payable pursuant to the Composite Scheme of Arrangement for the Amalgamation of the Transferor Company 3 and Transferor Company 4 with the Transferee Company 2, and the shares held by the Transferee Company 2 in the Transferor Company 3 and Transferor Company 4 shall stand cancelled without any further act, application or deed.

14.2. If any, cross holdings of Shares and other instruments between the Transferor Company 3, Transferor Company 4 and Transferee Company 2 as on the Record /appointed date be treated as cancelled and extinguished and consequent reduction in the capital of the Transferee Company 2, if any, shall be effected on without

following the procedure laid down in section 66 of the Companies Act, 2013 on the basis of the principle of single window clearance. The said cancellation shall result in reduction of Capital under Section 66 of the Act. However, since the aforesaid reduction is consequential and is proposed as an integral part of the Composite Scheme, the Transferee Company 2 shall not be required to undertake separate procedure under Section 66 of the Act, Further, as the reduction does not result in either diminution of liability in respect of unpaid share capital or payment to any shareholder of any paid-up share capital, the provisions of Section 66 of the Act shall not be applicable. The order of the NCLT sanctioning the Composite Scheme shall be deemed to be the order under Section 66 of the Companies Act, 2013 for the purpose of confirming the reduction. Further, the Transferee Company 2 shall not be required to add 'and reduced' as suffix to its name consequent upon such reduction.

15. **LEGAL PROCEEDINGS**

If any legal proceedings including but not limited to suits, summary suits, indigent petitions, appeal, or other proceedings of whatever nature (hereinafter called "the proceedings") by or against the Transferor Company 3 and Transferor Company 4 are pending as on the Effective Date, the same shall not abate or be discontinued or be in any way prejudicially affected by reason of the transfer of the entire business and Undertaking 2 of the Transferor Company 3 and Transferor Company 4 or of anything contained in the Composite Scheme, but the proceedings shall be continued, prosecuted and enforced by or against the Transferee Company 2 in the same manner and to the same extent as they would or might have been continued, prosecuted or enforced by or against the Transferor Company 3 and Transferor Company 4, if the Composite Scheme had not been made. On and from the Effective Date, the Transferee Company 2 may initiate any legal proceeding for and on behalf of the Transferor Company 3 and Transferor Company 4.

16. **EMPLOYEES OF TRANSFEROR COMPANY 3/ TRANSFEREE COMPANY 1, AND TRANSFEROR COMPANY 4**

16.1. On the Composite Scheme coming into effect, all staff, workmen and employees (including those on sabbatical / maternity leave) of the Transferor Company 3 and Transferor Company 4 in service on the Effective Date shall be deemed to have become staff, workmen and employees of the Transferee Company 2 with effect from the Effective Date without any break or interruption in their service and on the terms and conditions not less favourable than those applicable to them with reference to the Transferor Company 3 and Transferor Company 4 on the Effective Date, if any.

16.2. It is expressly provided that, in so far as the Gratuity Fund, Provident Fund, Super Annuation Fund or any other Special Scheme(s)/Fund(s) (hereinafter referred as "Fund or Funds") created or existing for the benefit of the staff, workmen and employees of the Transferor Company 3 and Transferor Company 4 are concerned, upon the Composite Scheme coming into effect, the Transferee Company 2 shall stand substituted for the Transferor Company 3 and Transferor Company 4 for all purposes whatsoever in relation to the administration or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Fund or Funds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Company 3 and Transferor Company 4 in relation to such Fund or Funds shall become those of the Transferee Company 2 and all the rights, duties and benefits of the staff, workmen and employees of the Transferor Company 3 and Transferor Company 4 under such Fund or Funds shall be protected, subject to the provisions of law for the time being in force. It is clarified that the services of the staff, workmen and employees of the Transferor Company 3 and Transferor Company 4 will be treated as having been continuous for the purpose of the said Fund or Funds and for other benefits such as long service awards, if any.

17. **BUSINESS AND PROPERTY IN TRUST FOR TRANSFEREE COMPANY 2**

17.1. With effect from the Appointed Date up to and including the Effective Date:

(c) The Transferor Company 3 and Transferor Company 4 shall carry on and be deemed to have carried on their respective business and activities and shall stand possessed of whole of their respective Undertaking 2, in trust for the Transferee Company 2 and shall account for the same to the Transferee Company 2.

(d) Any income or profit accruing or arising to the Transferor Company 3 and Transferor Company 4 and all costs, charges, expenses and losses or taxes (including but not limited to advance tax, tax deducted at source, tax on book profits credit, taxes withheld/paid in a foreign country, etc.), incurred by the Transferor Company 3 and Transferor Company 4 shall for all purposes be treated as the income, profits, costs, charges, expenses and losses or taxes, as the case may be, of the Transferee Company 2 and shall be available to the Transferee Company 2 for being disposed-off in any manner as it thinks fit.

17.2. With effect from the Appointed Date, all debts, liabilities, duties and obligations of the Transferor Company 3 and Transferor Company 4 as on the close of business hours on the date preceding the Appointed Date, whether or not provided in the books of the Transferor Company 3 and Transferor Company 4, and all liabilities, debts, duties, obligations which arise or accrue on or after the Appointed Date shall

be deemed to be the debts, liabilities, duties and obligations of the Transferee Company 2.

18. **SAVING OF CONCLUDED TRANSACTIONS**

The transfer and vesting of the entire business and Undertaking 2 of the Transferor Company 3 and Transferor Company 4 pursuant to this Composite Scheme, and the continuance of proceedings under Clause 15 above shall not affect any transaction or proceedings already concluded by the Transferor Company 3 and Transferor Company 4 on or after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company 2 accepts and adopts all acts, deeds and things done and executed by the Transferor Company 3 and Transferor Company 4 in respect thereto, as if done and executed on its behalf.

19. **ACCOUNTING TREATMENT**

19.1. The Transferee Company 2 shall upon the Composite Scheme coming into effect and with effect from Appointed Date, record the assets, liabilities and reserves (excluding shareholder's equity) of the Transferor Company 3 and Transferor Company 4 vested in it pursuant to this Composite Scheme, at the respective book values thereof and in the same form as appearing in the books of the Transferor Company 3 and Transferor Company 4 at the close of business of the day immediately preceding the Appointed Date.

19.2. Upon the Composite Scheme coming into effect, the excess or deficit, if any, remaining after recording the aforesaid entries shall be credited by the Transferee Company 2 to Capital Reserve Account or debited to Goodwill, as the case may be. The reserves created by virtue of Amalgamation should not be available for distribution or declaration of any Dividend. The Transferee Company 2 shall record in its books of accounts, all the transactions of the Transferor Company 3 and Transferor Company 4 in respect of assets, liabilities, income and expenses at their book values from the Appointed Date to the Effective Date.

19.3. Capital Reserve, if any, arising out of reduction in face value of CCD's as stated in clause 21 shall be adjusted towards cancellation of accumulated losses in Transferee Company as appearing in the Balance Sheet as on the appointed date.

19.4. The Transferee Company 2 shall abide by the pooling of interest method referred to in Accounting Standard 14 – 'Accounting for Amalgamation' issued by the Institute of Chartered Accountants of India, subject to provisions of this Composite Scheme of Arrangement.

20. COMBINATION OF AUTHORISED CAPITAL

20.1. Upon this Scheme becoming effective, the authorized share capital of the Essar Steel Metal Trading Limited shall automatically stand increased without any further act, instrument or deed on the part of the Essar Steel Metal Trading Limited including payment of stamp duty and fees payable to Registrar of Companies, by the authorized share capital of the Bhagwat Power Salaya Limited combined amounting to Rs. 52,56,40,00,000/- (Rupees Five Thousand Two Hundred and Fifty-Six Crores and Forty Lakhs only) comprising of 4,21,47,00,000 (Four Hundred and Twenty-One Crores and Forty-Seven Lakhs) Equity Shares of Rs 10/- (Rupees Ten only) and 1,04,17,00,000 (One Hundred Four Crores and Seventeen Lakhs) Preference Shares of Rs. 10/- (Rupees Ten only) the Memorandum of Association and Articles of Association of the Essar Steel Metal Trading Limited (relating to the authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified, and amended, and the consent of the shareholders of the Essar Steel Metal Trading Limited to the Scheme, whether at a meeting or otherwise, shall be deemed to be sufficient for the purposes of effecting this amendment, and no further resolution(s) under Sections 13, 61, 14 of the Companies Act 2013 and section 232 of the Companies Act 2013 and other applicable provisions of the Act would be required to be separately passed, as the case may be and for this purpose the stamp duties and fees paid on the authorized share capital of the Bhagwat Power Salaya Limited shall be utilized and applied to the increased authorized share capital of the Essar Steel Metal Trading Limited and there would be no requirement for any further payment of stamp duty and/or fee by the Essar Steel Metal Trading Limited for increase in the authorized share capital to that extent.

20.2. Pursuant to the Scheme becoming effective and consequent amalgamation of the Bhagwat Power Salaya Limited with the Essar Steel Metal Trading Limited, the authorized share capital of the Essar Steel Metal Trading Limited will be as under:

Particulars	Amount (Rs)
Authorized share capital	
4,21,47,00,000 Equity shares of Rs.10 /- each	42,14,70,00,000/-
1,04,17,00,000 Preference Shares of Rs.10 /- each	10,41,70,00,000/-
Total	52,56,40,00,000/-

It is clarified that the approval of the members of the Essar Steel Metal Trading Limited to the Scheme, whether at a meeting or otherwise, shall be deemed to be their consent / approval also to the amendment of the Memorandum of Association of the Essar Steel Metal Trading Limited as may be required under the Act, and Clause V of the Memorandum of Association of the Essar Steel Metal

Trading Limited shall stand substituted by virtue of the Scheme to read as follows:

Clause V of the Memorandum of Association of the Essar Steel Metal Trading Limited –

"The Authorized share capital of the Company is Rs. 52,56,40,00,000/- (Rupees Five Thousand Two Hundred and Fifty-Six Crores and Forty Lakhs only comprising of 4,21,47,00,000 (Four Hundred and Twenty-One Crores and Forty-Seven Lakhs) Equity Shares of Rs 10/- (Rupees Ten only) and 1,04,17,00,000 (One Hundred Four Crores and Seventeen Lakhs) Preference Shares of Rs. 10/- (Rupees Ten only)"

PART D

DEALING WITH THE REDUCTION OF COMPULSORILY CONVERTIBLE DEBENTURES (CCD'S) IN ESMTL AND ALTERATION IN THE TERMS OF ISSUE.

21. REDUCTION OF CCD's AND ALTERATION IN THE TERMS OF ISSUE OF CCD's OF ESMTL AS PERMISSIBLE BY LAW

21.1. Upon the Scheme becoming effective and with effect from the Appointed Date, the terms of CCD's of ESMTL will get modified into, instrument or deed from face value of Rs. 100/- (Rupees Hundred only) each to face value of Rs. 40 (Rupees Forty only) each, and the terms and conditions for conversion of CCD's into Equity shares shall be further altered from 10 Equity of Rs. 10 each to 4 Equity of Rs. 10 each per debenture each.

21.2. Upon the Scheme becoming effective and after obtaining the necessary approvals, consents, permissions etc, the issued CCD's Capital of ESMTL as on the appointed date will be reduced from face value of Rs. 100/- (Rupees Hundred only) each to face value of Rs. 40 (Rupees Forty only) each, thereafter the CCD's will be of face value of Rs. 40 (Rupees Forty only) each.

21.3. The reduction in the face value of CCD's of ESMTL shall be effected as an integral part of this Scheme itself, without having to follow the process under Section 71, Section 72 and other applicable rules, laws and provisions, of the Act separately and the Order of the Hon'ble National Company Law Tribunal, sanctioning the Scheme shall be deemed to be and Order under the Act for the purpose of confirming the reduction of CCD's of ESMTL from face value of Rs. 100/- (Rupees Hundred only) each to face value of Rs. 40 (Rupees Forty only) each. The amount of reduced value of Rs. 60 per debentures of Rs 100 each shall be credited to Capital Reserve.

21.4. The price for conversion of CCD's as mentioned in the terms and conditions of ESMTL shall be altered and substituted.

21.5. The reduction would not involve diminution of liability in respect of any unpaid capital.

21.6. The CCD's holder if any in the Transferor Company 1, Transferor Company 2, Transferor Company 3 and Transferor Company 4 respectively, will not be entitled for any consideration, however the OCD (Optionally convertible Debentures) holders of Transferor Company 1, Transferor Company 2, Transferor Company 3 Transferor Company 4, if any will be entitled for 1 OCD of ESMTL.

21.7. The revised terms of reduced CCD as on appointed date shall be

a. The CCDs shall have face value of Rs.40 each;

b. The holder(s) of the CCDs shall not be entitled to receive any coupon;

c. Each CCDs shall be converted into 4 equity shares of Rs. 10 each of the Company on 31st March, 2030;

d. The equity shares having a face value of Rs.10/- each allotted to the holder on conversion of the CCDs in terms hereof shall rank pari passu in all respects with the then existing equity shares of the Company;

e. The CCDs shall be unsecured;

f. The CCDs shall not be listed on any Stock Exchange(s).

21.8. Upon the Scheme becoming effective, all relevant Accounting Policies and Accounting Standard as regards to accounting for the reduction in face value of CCD's of ESMTL shall be in accordance with the applicable Accounting Standards as stated in clause 19 of Part C of this Composite Scheme.

PART E

GENERAL TERMS AND CONDITIONS

22. DISSOLUTION OF THE TRANSFEROR COMPANIES

22.1. On the Composite Scheme becoming effective, the Transferor Companies shall stand dissolved without being wound up and without any further act by the parties.

22.2. On and with effect from the Effective Date, the names of the Transferor Companies shall be struck off from the records of the appropriate Registrar of Companies. The Transferee Company 2 shall make necessary filings in this regard.

22.3. Even after the Composite Scheme becomes effective, the Transferee Company 2 shall be entitled to operate all bank accounts of the Transferor Companies and realize all monies and complete and enforce all pending contracts and transactions in respect of the Transferor Companies in the name of the Transferee Company 2 in so far as may be necessary until the transfer and vesting of rights and obligations of the Transferor Companies to the Transferee Company 2 under this Composite Scheme is formally effected by the parties concerned.

23. **CONTRACTS, DEEDS, BONDS AND OTHER INSTRUMENTS**

23.1. Upon the coming into effect of this Composite Scheme and subject to the provisions of the Composite Scheme and without any further act of the parties, all memorandum of understanding, contracts (including but not limited to customer contracts, service contracts and supplier contracts), schemes, assurances, licenses, insurance policies, guarantees, deeds, bonds, agreements, arrangements and other instruments (including all tenancies, leases, and other assurances in favour of the Transferor Companies or powers or authorities granted by or to it) of whatsoever nature to which the Transferor Companies is a party or to the benefit of which the Transferor Companies may be eligible and which are subsisting or having effect immediately before the Effective Date, shall continue in full force and effect against or in favour of the Transferee Company 2 as the case may be, and may be enforced as fully and effectually as if, instead of the Transferor Companies, the Transferee Company 2 had been a party or beneficiary or obligee or obligor thereto.

23.2. The Transferee Company 2 shall, if so required or becomes necessary, upon the coming into effect of this Composite Scheme enter into and/ or issue and/or execute deeds, writings or confirmations to give effect to the provisions of this Composite Scheme and to the extent that the Transferor Companies is required prior to the Effective Date to join in such deeds, writings or confirmations, the Transferee Company 2 shall be entitled to act for and on behalf of and in the name of the Transferor Companies, as the case maybe.

24. **CONDUCT OF BUSINESS UNTIL THE EFFECTIVE DATE**

With effect from the Appointed Date and up to and including the Effective Date:

24.1. The Transferor Companies shall carry on and be deemed to have been carrying on its business and activities and shall stand possessed of and hold all of the Undertaking for and on account of and for the benefit of and in trust for the Transferee Company 2. The Transferor Companies hereby undertake to hold the said assets with utmost prudence until the Effective Date.

24.2. The Transferor Companies shall carry on its business and activities with reasonable diligence, business prudence and shall not without the prior consent in writing of any of the persons authorised by the Board of Directors of the Transferee Company 2, (i) sell, alienate, charge, mortgage, encumber or otherwise deal with or dispose of the assets comprising the Undertaking or any part thereof or undertake any financial commitments of any nature whatsoever, except in the ordinary course of business (ii) nor shall it undertake any new business or substantially expand its existing business.

24.3. All the profits or income accruing or arising to the Transferor Companies or expenditure or losses arising to or incurred or suffered by the Transferor Companies

with effect from the said Appointed Date shall for all purposes and intents be treated and be deemed to be and accrue as the profits, incomes, costs, charges, expenditure or losses of the Transferee Company 2, as the case may be.

24.4. All taxes of any nature, duties, cess or any other like payments or deductions made by the Transferor Companies to any Statutory Authorities such as Income Tax (including advance tax and Tax Deducted receivable and Minimum Alternate Tax (MAT) credit), Service tax (Goods and Service Tax), Customs Duty, VAT, Goods and Service tax (Goods and Service Tax), etc. or any tax deducted / collected at source relating to the period after the Appointed Date and up to the Effective Date shall be deemed to have been on account of or on behalf of or paid by the Transferee Company 2 and the relevant authorities shall be bound to transfer to the account of and give credit for the same to the Transferee Company upon the passing of the order in the Composite Scheme by National Company Law Tribunal upon relevant proof and documents being provided to the said authorities to this effect.

24.5. The Transferor Companies shall not alter its equity capital structure either by fresh issue of shares or convertible securities (on a rights basis or by way of bonus shares or otherwise) or by any decrease, reduction, reclassification, sub-division, consolidation, re-organisation or in any other manner, except by and with the consent of the Board of Directors of the Transferee Company 2.

24.6. The Transferee Company 2 shall be entitled, pending the sanction of the Composite Scheme, to apply to the Central Government and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Transferee Company 2 may require to carry on the business of the Transferor Companies.

25. APPLICATIONS/PETITIONS TO THE NATIONAL COMPANY LAW TRIBUNAL AND APPROVALS

The Transferor Companies and Transferee Company 2 shall, with all reasonable dispatch, make application / petition to the National Company Law Tribunal or such other appropriate authority under Sections 230 to 232 and other applicable provisions of the Act, seeking orders for convening, holding and conducting of the meetings of the respective classes of the members and/or creditors (including Debenture Holders) of the Transferor Companies and Transferee Companies as may be directed by the National Company Law Tribunal or such other appropriate authority.

26. MODIFICATIONS/AMENDMENTS TO THE COMPOSITE SCHEME

26.1. The Transferor Companies and the Transferee Company 2, through their Directors or Committee of Directors or through any Director(s) or Company Secretary authorized in that regard, may consent on behalf of all persons concerned, to any

modifications or amendments of this Composite Scheme or to any conditions which the National Company Law Tribunal and/or any other Authorities under law may deem fit to approve of or impose or which may otherwise be considered necessary or desirable for settling any question or doubt or difficulty that may arise in carrying out this Composite Scheme and do all acts, deeds and things as may be necessary, desirable or expedient for putting this Composite Scheme into effect, subject to approval of Honorable National Company Law Tribunal.

26.2. For the purpose of giving effect to this Composite Scheme or to any modification, amendment or condition thereof, the Directors of the Transferee Company 2 are authorized to give such directions and/or to take such step as may be necessary or desirable including any directions for settling any question or doubt or difficulty whatsoever that may arise.

27. VALIDITY OF EXISTING RESOLUTIONS, ETC

Upon the coming into effect of the Composite Scheme, the resolutions of the Transferor Companies as are considered necessary by the Board of Directors of the Transferee Company 2 which are validly subsisting be considered as resolutions of the Transferee Company 2. If any such resolutions have any monetary limits approved under the provisions of the Act or of any other applicable statutory provisions, then the said limits, as are considered necessary by the Board of Directors of the Transferor Companies, shall be added to the limits, if any, under the like resolutions passed by the Transferee Company 2.

28. COMPOSITE SCHEME CONDITIONAL ON APPROVALS/SANCTIONS

The Composite Scheme is conditional upon and subject to:

28.1. Approval of the Composite Scheme by the requisite majority of each class of the respective members and creditors of the Transferor Companies and the Transferee Company 2, if applicable, in terms of the applicable provisions of the Act;

28.2. Sanctions and orders under the provisions of Section 230 read with Section 232 of the Act being obtained by the Transferor Companies and the Transferee Company 2 from the National Company Law Tribunal;

28.3. The certified or authenticated copies of the orders of the National Company Law Tribunal sanctioning this Composite Scheme being filed with the appropriate Registrar of Companies.

29. EFFECT OF NON-RECEIPT OF APPROVALS/SANCTIONS

29.1. In the event of any of the said approvals referred to in Clause 28 above not being obtained and/or complied with and/or satisfied and/or this Composite Scheme not being sanctioned by the National Company Law Tribunal and/or order or orders not being passed as aforesaid at a date as may be mutually agreed upon by the

respective Board of Directors of the Transferor Companies and the Transferee Company 2 who are hereby empowered and authorised to agree to and extend the aforesaid period from time to time without any limitations in exercise of their powers through and by their respective delegate(s), this Composite Scheme shall stand revoked, cancelled and be of no effect.

29.2. The Boards of Directors of the Transferor Companies and the Transferee Company 2 shall be entitled to revoke, cancel and declare the Composite Scheme of no effect if they are of the view that the coming into effect of the Composite Scheme could have adverse implications on the Transferor Companies and/ or the Transferee Company 2.

29.3. If any part of this Composite Scheme hereof is invalid, ruled illegal by the National Company Law Tribunal, or unenforceable under present or future laws, then it is the intention of the Transferor Companies and the Transferee Company 2 that such part shall be severable from the remainder of the Composite Scheme.

30. **COSTS, CHARGES AND EXPENSES**

All costs, charges and expenses (including, but not limited to, any taxes and duties, stamp duty, registration charges, etc.) of /payable by the Transferor Companies and the Transferee Company 2 in relation to or in connection with the Composite Scheme and incidental to the completion of the Amalgamation of the Transferor Companies with the Transferee Company 2 in pursuance of this Composite Scheme shall be borne and paid by the Transferee Company 2.

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NOTARY S.M.H.ZAIDI Mumbai & Thane Dist. No. 3640 Commission dires 26 Sept 2026 GOVT. OF INDIA

Annexure "B"

BHAGWAT POWER SALAYA LIMITED

CIN: U40300GJ2009PLC062729
Corporate off: 141/1 Malwada Burujpada, Vikramgad – 401605
Email id: aegisatul03@gmail.com

List of Assets of BHAGWAT POWER SALAYA LIMITED (Name of the Transferor Company) as on (the date of the order passed by the NCLT sanctioning the scheme) to be transferred to ESSAR STEEL METAL TRADING LIMITED (Name of the Transferee Company), pursuant to the scheme sanctioned by the Hon'ble National Company Law Tribunal, Ahmedabad Bench.

Schedule

Part I Particulars of Freehold Properties

(i) Land: NIL

(ii) Building: NIL

Part II Particulars of Leasehold Properties

(i) Land: NIL

(ii) Building: NIL

Part III

A.Particulars of Investment in Shares & Securities

No. of shares	Description	Face Value	Current Market Value
NIL			

B.Particulars of Bank Accounts

Sr. No	Bank & Branch	Type of Account	Account No.
1	Axis Bank (EDL), Mumbai	Current A/c	915020051830329
2	Axis Bank (PTIL), Mumbai	Current A/c	915020005512095
3	Bank Of Baroda, Worli Branch	Current A/c	76080200000648
4	Bank Of Baroda (BMRL), Worli Branch	Current A/c	76080200000653
5	Bank Of Baroda (EDL), Worli Branch	Current A/c	76080200000658
6	Bank Of Baroda (PTIL), Worli Branch	Current A/c	76080200000659
7	State Bank of India- Barbil (BMRL)	Current A/c	687895740
8	State Bank of India – Mumbai	Current A/c	30836696616
9	State Bank of India- Mumbai (BMRL)	Current A/c	742131711
10	State Bank of India- Kennjhar (BMRL)	Current A/c	1272807431
11	State Bank of India Overseas (EDL)	Current A/c	30704548636

Bhagwat Power Salaya Limited

BHAGWAT POWER SALAYA LIMITED

CIN: U40300GJ2009PLC062729
Corporate off: 141/1 Malwada Burujpada, Vikramgad – 401605
Email id: aegisatul03@gmail.com

C. Registration with Various Authorities under respective laws, Bodies etc.

Name of Authority	Nature of registration	Registration Number
Income Tax Department	PAN	AACCE1893N
Income Tax Department	TAN	MUME07790G
Sales Tax Department	VAT	
Service Tax Department	ST Reg. No	
	Input Service Distributor Reg. No	
Excise and Custom	DGFT IE Code No	
	BIN No	
Excise Registration No		
Ministry of Industries Government of India		
Registrar of Companies	CIN No	U40300GJ2009PLC062729
Small Scale Industries Reg. No (Gujarat DIC Office)		
PF Registration No		
ESI Registration No		
Factory Licence No		
Professional Tax Registration No		
LIC Group Gratuity Policy No		
Contractual Labour Registration No		
Electrical Connections		

D. VEHICLES: (IF ANY) Description and Registration No. : NIL

Bhagwat Power Salaya Limited

Signature of the Company Secretary of the company

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD